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**EXECUTIVE
BOARD
MEETING**

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May 31, 2018

To: Members of the Executive Board

From: The Secretary

Subject: **Kenya—Staff Report for the 2018 Article IV Consultation and Establishment of Performance Criteria for the Second Review Under the Stand-By Arrangement**

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*The authorities have indicated that they consent to the Fund's publication of this paper.



INTERNATIONAL MONETARY FUND

KENYA

May 31, 2018

STAFF REPORT FOR THE 2018 ARTICLE IV CONSULTATION AND ESTABLISHMENT OF PERFORMANCE CRITERIA FOR THE SECOND REVIEW UNDER THE STAND-BY ARRANGEMENT

KEY ISSUES

Article IV Context: Kenya has enjoyed strong growth in recent years and external imbalances have narrowed, strengthening resilience to shocks. The business environment continues to improve, supporting private investment. However, a severe drought, an extended presidential election, and weak bank lending—due in part to interest rate controls—slowed growth in 2017. With better weather and a stable political environment, growth should improve in 2018. But public debt has risen as revenue shortfalls have not been matched by spending cuts. Moreover, interest rate controls continue to hamper lending (especially to SMEs), growth, and monetary policy.

Program Context: The Executive Board approved a six-month extension of Kenya's SBA until September 14, 2018 (its SCF expired on March 13, 2018). Since the performance criteria (PCs) for the second review (end-June 2017) are now outdated, establishment of new PCs for end-June 2018, a monetary policy consultation clause (MPCC), and new structural benchmarks are proposed. Staff will circulate a Staff Report for completion of the second review with relevant program parameters at a later date. The authorities plan to continue treating the SBA as precautionary. Staff supports the request for establishment of new performance criteria and an MPCC for end-June 2018. The PCs will cover a floor on the primary balance consistent with a 2017/18 overall fiscal deficit of 7.5 percent of GDP, a floor on international reserves, and a ceiling on new contracting or guaranteeing of public debt.

Key Policy Recommendations: *In the near term*, the authorities should deliver on their fiscal deficit target of 7.5 percent of GDP in 2017/18 (focusing measures on expenditure) and 5.7 percent in 2018/19 (focusing measures on revenue) to bring debt ratios onto a downward path. It is critical for the authorities to remove or significantly modify interest rate controls and move toward an interest rate corridor soon thereafter. *In the medium term*, the planned gradual fiscal consolidation is essential to preserving debt sustainability and reducing fiscal risks. Measures should focus on revenues to maintain space for public investment and social spending. Structural reforms should continue to focus on improving revenue administration, strengthening public financial management, modernizing the monetary policy framework, enhancing bank prudential frameworks, and improving the business environment and governance, with a view to sustaining strong growth and making it more inclusive.

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Approved By
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Discussions were held in Nairobi during February 19–March 2. The staff team comprised B. Clements (head), N. Hobdari and J. Weiss (all AFR), S. Mbaye (FAD), R. Moya (MCM), and Z. Munkacsi (SPR). J. Mikkelsen (Resident Representative) participated in the discussions. T. Sitimawina from the Executive Director's office joined the mission. The mission met with Cabinet Secretary to the Treasury Rotich, Central Bank of Kenya Governor Njoroge, as well as other senior government officials, members of parliament, and representatives of the private sector and civil society. F. Nyankiye provided research support and F. Morán Arce and J. Ogaja provided assistance in the preparation of this report.

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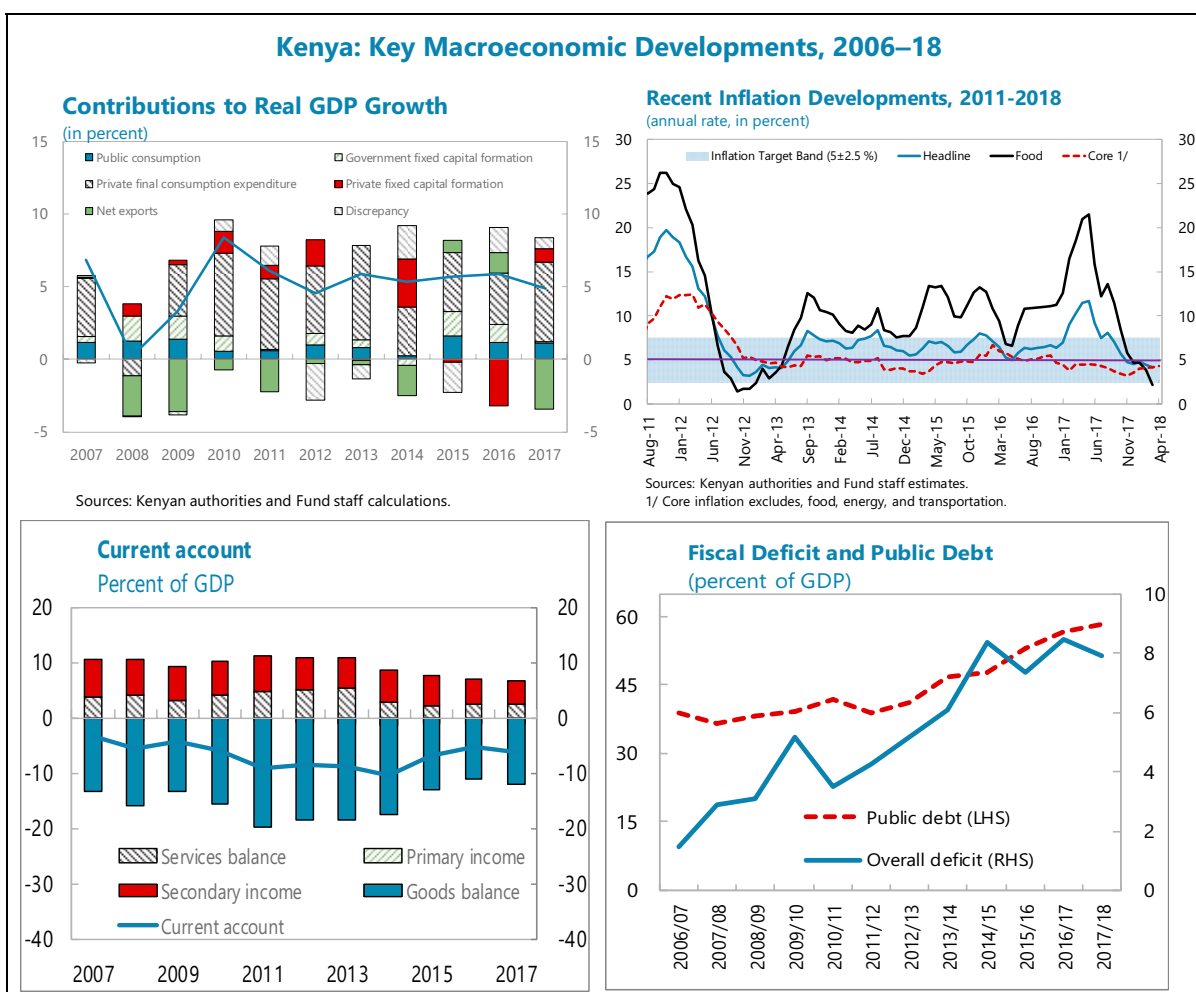
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CONTEXT

1. Kenya has achieved strong economic growth and reduced external imbalances in recent years, but the fiscal deficit has remained high and public debt is increasing, threatening medium-term growth and poverty reduction efforts. Real GDP growth has averaged about 5½ percent since the 2008 global crisis. This reflects continued macroeconomic stability, a rapid increase in financial inclusion (see Selected Issues Paper), better provision of public infrastructure services, and significant improvements in the business environment. In turn, Kenya's poverty rate fell by over 10 percentage points over 2006–16 (to 36.1 percent) although inequality remained high (Box 1). While current account deficits have started to adjust and external buffers remain adequate, fiscal deficits have remained high. This has contributed to a significant increase in public debt, which is projected to reach 60.7 percent of GDP by June 2018 (the end of FY 2017/18). Achieving stronger growth in the medium term that will further reduce poverty requires a gradual fiscal consolidation that reverses Kenya's recent debt trajectory while preserving space for growth-friendly public investment.



2. The political uncertainty of 2017 appears to have abated. The result of the August 2017 presidential election was annulled by the Supreme Court and the opposition boycotted the repeat election in October. Elevated political polarization weakened investor and business confidence, reduced economic activity, and stalled the authorities' reform agenda. Political uncertainty appears to have abated since the presidential inauguration in late November 2017, although some of the political fissures highlighted by the election remain.

RECENT ECONOMIC DEVELOPMENTS

3. Economic growth slowed in 2017. GDP growth fell to 4.9 percent in 2017 (from 5.9 percent in 2016). This was driven by a contraction in agriculture due to the severe drought of late-2016/early-2017, extended political uncertainty that adversely affected confidence, and weak credit growth, partly due to interest rate controls. The conclusion of the election period in November saw a return of confidence, with growth accelerating to 5 percent in the fourth quarter (up from 4.7 percent through the first three quarters). Higher-frequency indicators suggest that the pickup in activity continued in early 2018 as pent-up demand and investment from 2017 continues to carry over into this year, although credit to the private sector remained very weak.

4. Inflation is back within the authorities' target range (5±2.5 percent). A sharp rise in food prices pushed headline inflation above the target range starting in February 2017. With weather returning to normal, food inflation fell in July and headline inflation stayed within the target range for the rest of the year. The continued decline in food inflation has kept headline inflation in the lower half of the target range since November (3.4 percent in April). Core inflation has remained below 5 percent since late 2016.

5. The current account deficit has widened. While the current account deficit has fallen from its peak of several years ago, it increased to 6.8 percent of GDP in 2017 (from 5.2 percent in 2016). The increase reflected mainly higher food and fuel imports due to the drought and rising global oil prices. This outweighed a strong improvement in export growth. On balance, the external position appears to be weaker than Kenya's fundamentals and desirable policy settings (Annex II).

6. The interest rate controls that were introduced in September 2016 have weakened economic performance. The controls are contributing to lower credit growth, reduced financial inclusion, weaker bank profitability and tax revenues, higher financial stability risks, and a weakening of the effectiveness of monetary policy. Staff analysis suggests that interest rate controls reduced growth in 2017 by $\frac{1}{4}$ – $\frac{3}{4}$ percentage points (see Selected Issues Paper).

ECONOMIC OUTLOOK AND RISKS

7. Kenya's medium-term outlook remains favorable but hinges on implementation of reforms, and headwinds from fiscal consolidation and weak credit growth will weigh on economic activity in the near term.

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- *Under the baseline*, with elections over and weather conditions returning to normal, growth is expected to increase to 5.7 percent in 2018 (from 4.9 percent in 2017). Supported by the supply effects from completed key investment projects (such as the Mombasa-Nairobi railway), better public investment management, and further improvements in the business environment—and assuming that interest rate controls are removed or significantly modified—Kenya's real GDP growth is expected to average 6.0–6.5 percent per year over the medium term. These reforms, projected improved export performance, and, in the near-term, better weather conditions, will more than offset the contractionary effects of the planned fiscal adjustment. The medium-term fiscal adjustment envisages strong adjustment over 2018-19, driven largely by revenue measures, with the deficit gradually approaching, but not reaching, the EAC convergence criteria of 3.0 percent of GDP. Inflation is expected to remain within the authorities' target range in the near term, despite higher global fuel prices, reflecting the negative output gap. The current account deficit is projected to decline over the medium term as tea exports and tourism receipts continue to recover.

Kenya: Medium-Term Macroeconomic Framework – Baseline (Adjustment Scenario)

	2014	2015	2016	2017	2018	2019	2020	2021	2022
	Act.			Prel.	Proj.				
Real GDP growth (percent)	5.4	5.7	5.9	4.9	5.7	6.0	6.2	6.5	6.5
CPI inflation, average (percent)	6.9	6.6	6.3	8.0	5.0	5.3	5.0	5.0	5.0
CPI inflation, eop (percent)	6.0	8.0	6.3	4.5	5.5	5.1	5.0	5.0	5.0
Current account balance (percent of GDP)	-10.4	-6.7	-5.2	-6.8	-6.6	-6.3	-6.1	-6.3	-6.3
Overall fiscal balance (percent of GDP) ¹	-5.8	-8.4	-7.3	-9.0	-7.5	-5.7	-4.0	-3.5	-3.5
Gross international reserves (in billions of US\$)	7.9	7.5	7.5	7.1	8.0	9.2	10.2	11.0	11.8
Gross international reserves (months of imports)	5.3	5.5	4.7	4.0	4.1	4.3	4.4	4.3	4.3
Total public debt (gross, percent of GDP)	48.6	51.2	53.2	58.0	63.2	62.9	60.0	57.5	56.3

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ Fiscal years (e.g., 2015 refers to FY 2014/15).

- *Under an alternative scenario*, with unchanged policies (slower fiscal consolidation and no removal or modification of interest rate controls), staff project lower medium-term growth, and higher fiscal deficits and public debt.

Kenya: Medium-Term Macroeconomic Framework—Alt. Scenario Unchanged Policies

	2014	2015	2016	2017	2018	2019	2020	2021	2022
	Act.			Prel.	Proj.				
Real GDP growth (percent)	5.4	5.7	5.9	4.9	5.2	5.5	5.5	5.5	5.5
CPI inflation, average (percent)	6.9	6.6	6.3	8.0	4.8	5.0	5.0	5.0	5.0
CPI inflation, eop (percent)	6.0	8.0	6.3	4.5	5.0	5.0	5.0	5.0	5.0
Current account balance (percent of GDP)	-10.4	-6.7	-5.2	-6.8	-6.5	-5.9	-5.3	-5.0	-4.8
Overall fiscal balance (percent of GDP) ¹	-5.8	-8.4	-7.3	-9.0	-7.9	-7.0	-6.3	-5.8	-6.0
Gross international reserves (in billions of US\$)	7.9	7.5	7.5	7.1	7.7	8.5	9.2	10.1	10.8
Gross international reserves (months of imports)	5.3	5.5	4.7	4.0	4.1	4.2	4.2	4.3	4.3
Total public debt (gross, percent of GDP)	48.6	51.2	53.2	58.4	60.4	61.1	61.1	62.2	63.0

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ Fiscal years (e.g., 2015 refers to FY 2014/15).

8. Risks to these macroeconomic projections are mostly to the downside. Failure to remove or significantly modify interest rate controls—to an extent that fully mitigates their negative impact on credit growth—would reduce medium-term growth and, likely, increase fiscal deficits and debt. Other important risks include: (i) on the upside, a faster-than-projected recovery of tourist arrivals; and (ii) on the downside, new security incidents in Kenya, protracted weak credit growth, and a larger-than-expected impact of the programmed fiscal consolidation. External shocks that spurred capital outflows—such as a pullback from emerging markets or tightening global monetary conditions—would come at a time when the authorities have little policy space, given the urgent need for fiscal adjustment and a still-constrained monetary policy due to interest rate controls. As such, if such a shock were to materialize, economic growth would weaken.

Authorities' Views

9. The authorities were more optimistic than staff about near- and medium-term growth prospects. The authorities expect somewhat stronger growth than staff in 2018 and considered staff's medium-term projections overly conservative given the envisioned role of the Big Four (Box 2) in supporting growth, as well as gains from infrastructure developments such as the Standard Gauge Railway. The authorities also saw the current account deficit declining at a faster pace than projected by staff due to the absence of one-off factors such as higher drought-related imports in 2017.

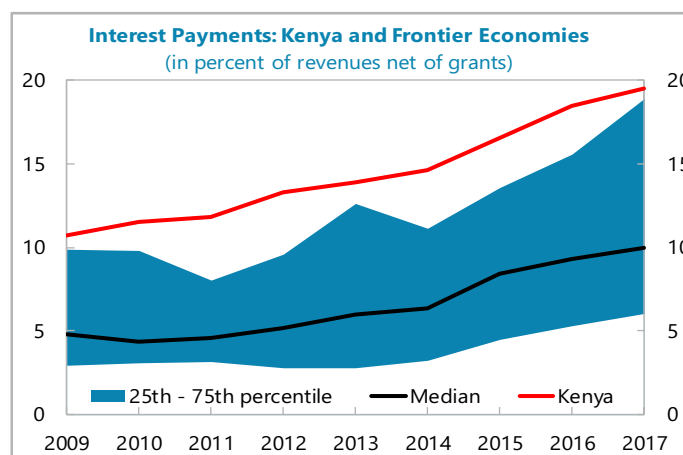
POLICY DISCUSSIONS

A. Fiscal Policies: Delivering Fiscal Consolidation to Maintain Debt Sustainability and Preserve Public Investment

Background

10. Debt and debt service have increased as a result of the government's public investment drive and revenue

shortfalls in recent years. Public debt has been increasing at a relatively fast pace since 2013, with slippages in the runup to the 2017 elections pushing debt up to a projected 60.7 percent of GDP by June 2018. The higher level of debt, together with rising reliance on non-concessional borrowing, have raised fiscal vulnerabilities and increased interest payments on public debt to nearly one fifth of revenue, placing Kenya in the top quartile among its peers. As a result, Kenya's risk of debt distress has increased from low to moderate (see accompanying Debt Sustainability Analysis).



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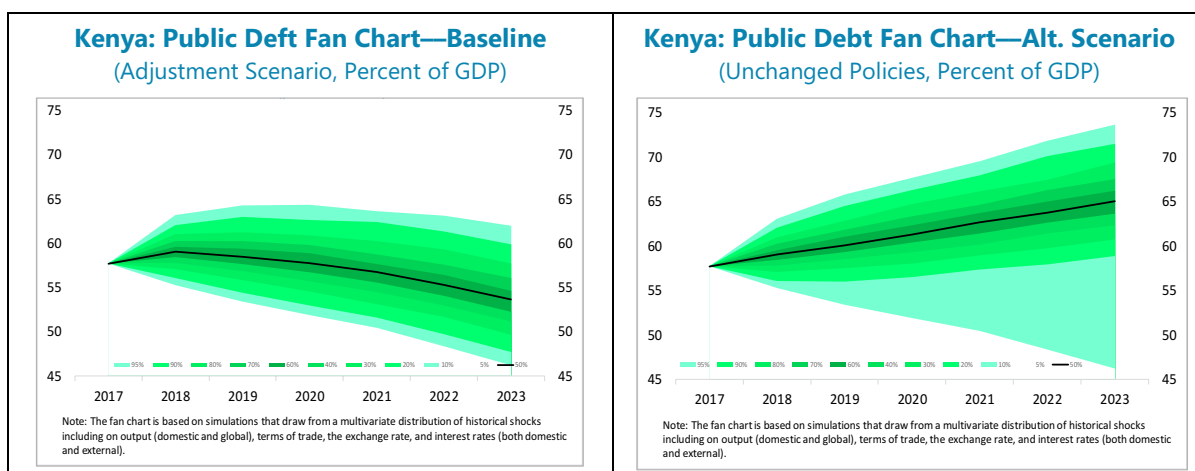
11. Historically, overly-optimistic revenue projections have required ad hoc adjustments in spending to meet budget deficit targets. Typically, the authorities have, toward the end of the fiscal year, frozen spending authorizations across ministries below budgeted levels to meet fiscal targets. This has resulted in ad hoc fiscal adjustments that risk increases in arrears (pending bills) and shortfalls in public investment spending. Because of these unrealistic revenue projections, budgets have not provided a transparent indication of the spending that the government will likely carry out in the fiscal year.

12. The fiscal deficit in 2016/17 was 9.2 percent of GDP, compared to a program target of 6.9 percent. This reflected mainly a combination of higher-than-programmed foreign-financed investment and lower tax revenues. Income taxes experienced the largest shortfall, reflecting the upward adjustment in PAYE tax bands, delays in the implementation of planned revenue administration measures, and reduced profitability in the financial sector. New spending pressures also emerged from the drought, the election, and the higher interest bill (the latter equivalent to 0.2 percent of GDP). These were only partially offset by cuts in domestically-financed investment and other current spending.

13. Revenue shortfalls have persisted over the course of FY2017/18, putting the authorities' consolidation plans at risk. Revenues through end-March 2018 were about 0.5 percent of GDP short of the revised budget target, mainly on the back of lower income tax, excise, and VAT revenues. The authorities have adopted a series of revenue administration measures, beginning in January 2018, such as the rollout of the Integrated Custom Management System and installation of scanners at customs ports to reduce revenue losses due to the under-declaration of imports. While these measures are expected to boost revenues in the medium term, staff projects shortfalls in FY2017/18 revenues relative to the March 2018 supplemental budget, primarily based on revenue outturns through March, and also partly due to the effect of the interest rate controls on corporate tax receipts. As such, further expenditure cuts will be needed to meet the June 2018 fiscal target.

Policy Discussions

14. Staff and the authorities agreed that reducing the fiscal deficit over the medium term is essential to contain fiscal risks and support private sector growth. Reducing the fiscal deficit gradually toward the authorities' medium-term objective of 3 percent of GDP would reduce financing risks, put debt on a downward path, and avoid procyclical tightening in the event of a shock. Such a strategy is also in line with the East African Monetary Union's convergence criteria (a fiscal deficit of 3 percent of GDP by 2021). Staff also underscored that the composition of financing needs to be carefully calibrated to balance the risks from further non-concessional borrowing on the external market and risks of crowding out the private sector in the domestic market.



15. The authorities' plan to reduce the deficit to 7.5 percent of GDP in 2017/18—and further to 5.7 percent in 2018/19—marks a good first step in implementing this strategy.¹ The strategy implies an adjustment in the primary balance of over 3 percent of GDP during 2017/18–2018/19 relative to the 2016/17 outcome. This strikes a careful balance between reducing the fiscal risks posed by high budget deficits and maintaining robust growth. Expiration of one-off spending (text table) would help to achieve the envisaged fiscal consolidation.

Kenya: Expiration of One-Off Spending, 2018/19
(percent of GDP)

	2018/19
Projected reduction in the overall deficit	1.5
Expiration of one-off spending	0.5
<i>Elections</i>	0.4
<i>Drought</i>	0.2
Residual consolidation (excl. one-offs)	1.0

16. Additional spending cuts, beyond those incorporated in the supplemental budget, are needed to achieve the 2017/18 fiscal target. The authorities agreed that if revenues disappoint, they would contain spending for the remainder of 2017/18 as needed to achieve the deficit target. Staff urged the authorities to focus the cuts on low-priority domestically-financed capital projects to avoid undue disruption to priority spending, and to contain spending commitments (rather than delaying payments) to ensure that the deficit target is met without incurring arrears.

17. The authorities have committed to a series of tax policy measures to boost revenues in 2018/19. The authorities are planning revenue measures that include: (i) removal of the VAT exemption on petroleum imports, which is set to expire in September (0.36 percent of GDP); (ii) expanding taxes on betting to cover both operator profits and winnings (0.41 percent of GDP); and (iii) removing various VAT and CIT exemptions (0.15 percent of GDP). The authorities expect these and additional planned measures to yield a total of 1.1 percent of GDP in additional revenues.

¹ At the time of the March 2018 staff report, the 2017/18 deficit target was 7.2 percent of GDP. The subsequent release in April 2018 of the national accounts statistics for 2017 had a significant downward revision of the GDP deflator and overall nominal GDP for the second half of 2017. This implies that the nominal fiscal deficit target of Ksh 623 billion is now equivalent to 7.5 percent of GDP.

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18. The draft income tax bill represents a positive step forward in Kenya's tax regime. The bill, which has been posted for public comment and is planned for introduction in FY2018/19, would increase the progressivity of the personal income tax, and have a positive revenue impact, by (1) adding a new personal income tax bracket of 35 percent for upper-income individuals; and (2) simplifying the corporate tax code along a number of lines.

19. Staff indicated that additional measures will be needed for 2018/19 to meet the deficit target. Staff welcome the measures described in paragraphs 17 and 18, which are incorporated into the baseline, but believe that the authorities' revenue projections are overly optimistic. The weak underlying performance of income and other taxes are likely to persist, partially offsetting the effects of the measures planned by the authorities. On this basis, staff projects that measures of an additional 0.6 percent of GDP will be needed to meet the deficit target. Further measures would also be required in case of lower yields from the measures described in paragraph 18 above. Staff also encourages the authorities to carry out a careful costing of any tax benefits that they plan to enact as part of the government's "Big Four" development plan (Box 2).

20. There is scope for further improvement in the tax regime. For the income tax, this could be achieved by closing remaining loopholes related to investment allowances and capital gains taxes. VAT exemptions also remain large; rationalization of these could yield roughly 2½–3 percent of GDP per year. The property tax remains largely unexploited, and will be needed to help support the devolution of spending responsibilities to county governments. The authorities should also consider improvements to the international taxation regime (see Box 3 and Selected Issues Paper).

21. Staff encourages the authorities to monitor and prevent the accumulation of arrears, carefully evaluate fiscal risks related to PPPs, and mitigate the impact of the envisaged fiscal adjustment on the most vulnerable groups. Staff welcomes the authorities' initiatives to move towards free secondary education, expand access to healthcare, and promote housing for low-income groups, which will help reduce inequality. The authorities should also carefully review fiscal risks associated with the large number of planned PPP projects as part of the Big Four, especially in the road sector.

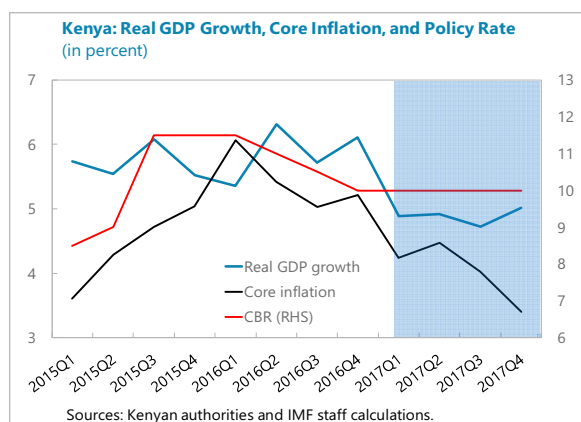
Authorities' Views

22. The authorities agreed with staff on near term fiscal targets, but were more optimistic on revenues. The authorities were confident that revenues would materialize as projected in the supplemental budget. As such, they saw less urgency than staff in identifying specific spending reductions to ensure that the fiscal target would be met. They thus saw less need for additional measures in FY2018/19 to meet the target. However, they agreed that if revenues disappoint, based on the outturn for April, they would freeze spending authorizations as needed to meet the target. They also believed that they would be able to slow down spending as needed without generating additional arrears.

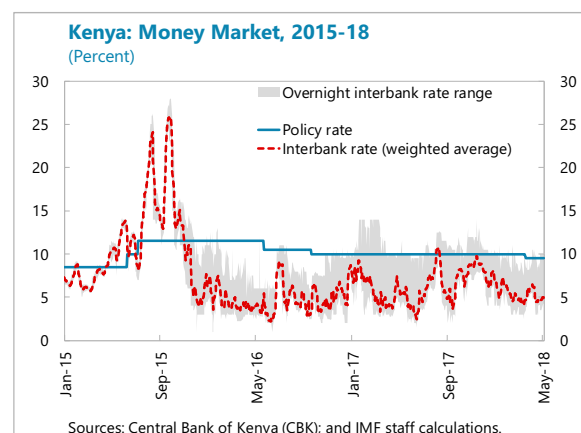
B. Monetary and Exchange Rate Policies: Transitioning Toward a Modern, Forward-Looking Monetary Framework

Background

23. The Central Bank of Kenya's (CBK's) policy rate (CBR) has lost its signaling role as interest rate controls have weakened the link between the CBR and bank lending and deposit rates. Prior to introduction of interest rate controls, the CBK had been changing the CBR with respect to developments in inflation and growth. When core inflation moved above the mid-point of the inflation target range and/or growth accelerated above potential, the CBR was increased and lowered when the opposite happened to inflation and growth. Since the introduction of the controls, until March 2018 the CBK kept the CBR unchanged at 10.0 percent, despite lower growth and lower core inflation. A reduction in the CBR would lower the maximum interest rate that banks can charge under the interest rate caps. This, in turn, could ration a greater share of high risk/high return borrowers, tightening (rather than loosening) credit conditions. In March 2018, the CBK changed the CBR for the first time since controls were introduced, cutting the rate by 50 bps to signal its accommodative stance, but in doing so noting the potential for perverse outcomes. The impact, if any, of the cut on bank lending is not yet clear.



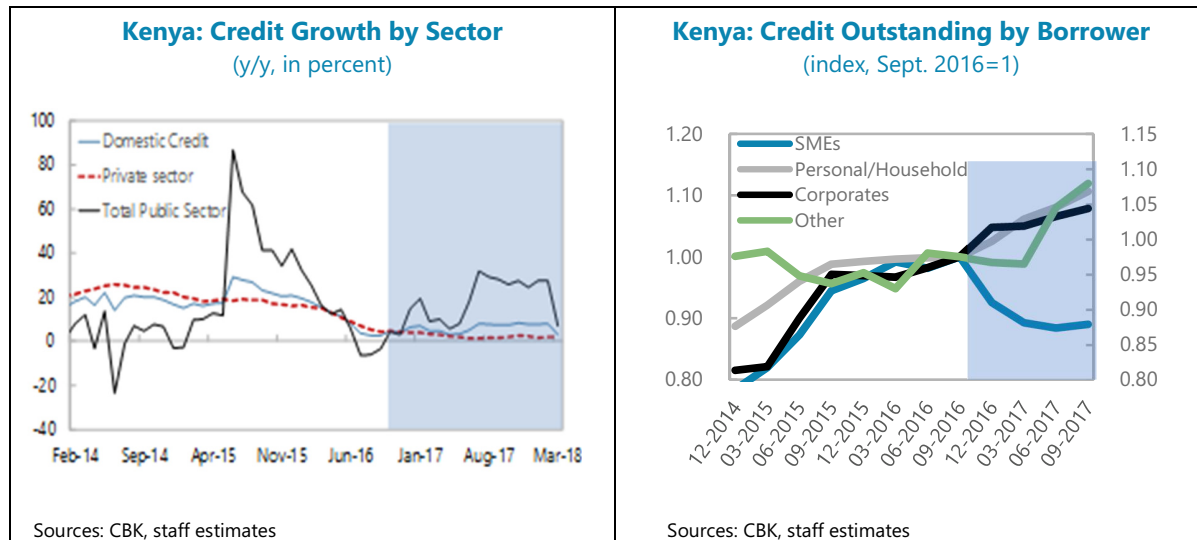
24. Interbank market volatility has hindered the monetary policy framework's effectiveness. The weighted average interest rate in the interbank market has ranged between 3 and 10 percent during 2017 and early 2018. The wide range has entailed significant day-to-day volatility, which appears to be driven by some combination of a small number of large banks dominating the market, remaining inefficiencies in the processing of large government transactions, and unsterilized FX interventions. The dispersion in interbank rates has remained elevated, with small banks facing much higher borrowing rates since three banks were closed in 2015–16 that led to a substantial increase in risk aversion.



25. Private sector credit growth has fallen sharply. Private sector credit growth was 2 percent y/y in March 2018, compared to 4.1 percent at end-2016 and 16.0 percent at end-2015. While the slowdown in lending began before interest rate controls were adopted, their introduction has led to a further shift in bank lending from the private sector and toward the government, with the latter

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becoming increasingly reliant on banks for funding. This has been accompanied by a sharp decline in bank credit to SMEs, especially in trade and agriculture, reducing financial inclusion and growth (see Selected Issues Paper on Interest Rate Controls).



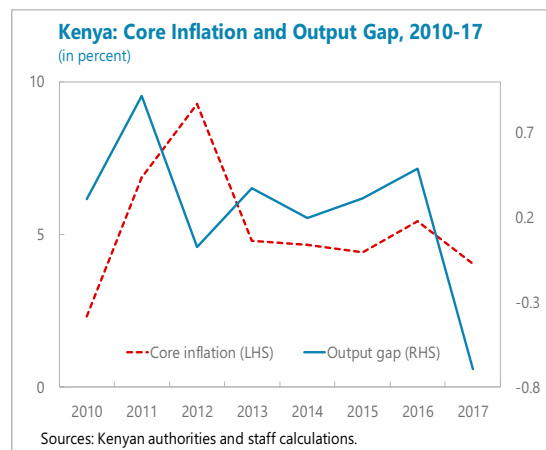
Policy Discussions

26. Abolishing or significantly modifying interest rate controls is key for transitioning to an interest-rate based monetary policy framework and enhancing Kenya's ability to respond to external shocks. The controls have delayed the CBK's adoption of an interest rate corridor. The latter is essential to re-establish the signaling role of the CBR and facilitate the CBK's communication on the stance of monetary policy. A first-best solution would be to remove the interest rate controls. Given the political difficulties of doing so, the authorities have committed to significantly modify interest rate controls if removal is not possible. This should be done by delinking the lending rate cap from the CBR; significantly increasing the lending rate cap with the aim of protecting consumers from predatory lending; and abolishing the floor on time deposit rates. Staff can agree with such an approach that includes all of these elements, as this would neutralize the negative impact of interest rate controls. The authorities have also committed to introduce a formal interest rate corridor for interbank rates around the policy rate as the cornerstone of the CBK's monetary policy framework. The corridor should be introduced shortly (two to three months) after the removal or significant modification of the controls, which should provide sufficient time to assess how banks have reacted to the removal of the controls and any operational changes that are needed to make the corridor effective.

27. Lower volatility in interbank interest rates would help ensure consistency with Kenya's interest-rate based monetary policy framework. The significant volatility in the interbank interest rate has adverse effects on bank lending rates, incentivizes banks to retain excess liquidity, and weakens the monetary policy transmission mechanism. To that end, the CBK should work to reduce interbank rate volatility, even before interest rate controls are removed or modified, by (1) sterilizing

the liquidity impact of its foreign exchange interventions as needed; (2) improving liquidity forecasting, especially regarding large operations by the National Treasury; and (3) strengthening the horizontal repo market. Even with monetary policy transmission hampered by interest rate controls, greater interbank market stability will allow for a more efficient distribution of liquidity among banks, and help banks prepare for the post-controls era of monetary policy. To help further develop financial markets and increase transparency, the authorities should also consider publishing ex-post information on FX operations, such as volumes and number of participants, as do other frontier and emerging economies.

28. An accommodative monetary policy seems appropriate. Monetary conditions, as measured by the average interbank interest rate, are close to zero in real terms. With core inflation below the mid-point of the target range, fiscal consolidation in progress, and a negative output gap, the stance of monetary policy should remain accommodative. The CBK should stand ready to loosen liquidity conditions further, if possible, given interest rate controls, if growth and inflation remain subdued.



29. There is also room for greater exchange rate flexibility. The CBK engages in periodic FX interventions, typically unsterilized, to limit shilling movement. Given the CBK's credibility, well-anchored inflation expectations, and adequate reserve coverage, there is scope for greater exchange rate flexibility. This would underscore the exchange rate's role as a potential shock absorber (see Annex II).

Authorities' Views

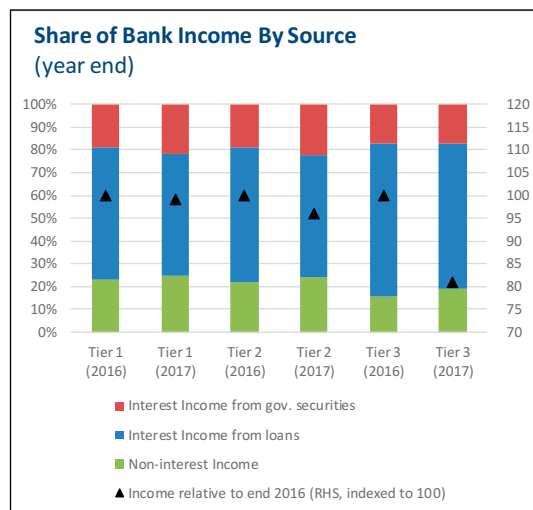
30. The authorities agreed that interest rate controls and interbank market volatility are hampering monetary policy effectiveness. However, they believe that the volatility issue cannot be resolved before interest rate controls are removed or significantly modified and the CBR signaling function strengthens. Their preferred strategy is to focus on reducing interbank market segmentation by improving the trading platform for government securities to increase access to liquidity for more banks. In their view, it is not necessary to sterilize FX interventions, given their relatively low volumes, and they saw liquidity forecasting, including for government transactions, as adequate. They agree that, after controls are modified, an interest rate corridor should be established, but believe a longer period (of six months) would be preferable, to observe any related financial stability issues related to the change in interest rate regime. The authorities underscored their adherence to a flexible exchange rate policy and that their FX interventions were undertaken to avoid excessive exchange rate volatility, which they viewed as important for achieving macroeconomic and financial stability.

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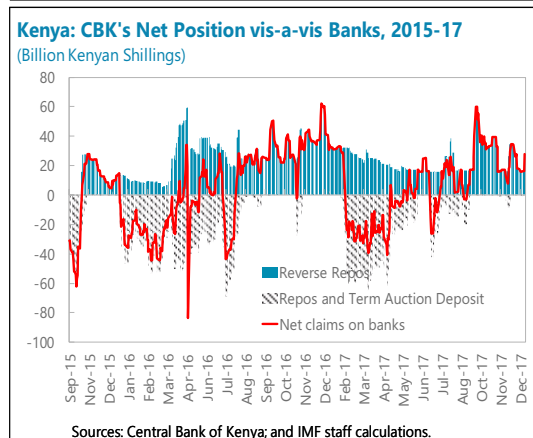
C. Financial Sector Policies: Maintaining Financial Stability

Background

31. Interest rate controls have reduced the profitability of banks. Commercial banks have been forced to adjust their deposit and lending facilities with the controls introduced in September 2016, significantly reducing their net interest income. To soften the impact on their earnings, banks have taken steps to reduce operating expenses, including by cutting staff and increasing fees. The significant drop in profitability is of particular concern for small banks, whose profits were already below the industry average and have been forced to adjust their deposit and lending facilities with the controls introduced in September 2016, significantly reducing their net interest income. Although the impact of interest rate controls on the banking sector's performance has largely fallen on smaller banks and so far, does not pose a systemic risk, with the system in aggregate remaining sound, they pose risks to financial stability if maintained for much longer.



32. NPLs have continued to increase and liquidity support by the CBK to banks remains relatively high. NPLs increased to 12.4 percent in April 2018, from 9.6 percent a year earlier. This reflects stricter NPL classifications by the CBK; the slowdown in credit growth, which affects NPL rates through the denominator factor; and the slowdown in economic growth. The outstanding amount of liquidity support to some small banks that remain cut-off from the interbank market—while down from peak levels and now focused on fewer banks—remains significant.



33. These pressures notwithstanding, banks and corporates appear relatively resilient to shocks in the corporate sector. Stress tests suggest that Kenya's large non-financial corporations, which have enjoyed strong growth and profitability in recent years, are resilient to shocks, and Kenya's banks are resilient to corporate sector shocks: Even under extreme shock scenarios, banks would experience an increase in NPLs but would not experience a severed deterioration of capital levels (see Selected Issues Paper on corporate vulnerability for further detail).

Policy discussions

34. Strengthening the bank supervision framework is critical for safeguarding financial stability. The authorities continue to strengthen the banking supervision framework. Capital and liquidity positions of commercial banks and microfinance institutions have been improving. Specialized on-site inspections of banks' ICT systems are being implemented, as well as International Financial Reporting Standards (IFRS) 9 standards (although the latter will be phased in over a five-year period). The CBK also recently issued a guidance note to banks related to Cyber Security. While the overall banking sector is healthy, two small government-owned banks (both representing about 3 percent of system assets, or about 0.3 percent of GDP) are not compliant with capital ratios and some other banks fall short of liquidity statutory minima. Staff encourages the CBK to continue to implement remedial plans for banks that are not compliant with capital and liquidity ratios, including requiring banks to present credible restructuring plans to restore prudential ratios in a time-bound manner.

35. The authorities are making progress in the resolution of the 3 banks that were intervened in 2015 and 2016. CBK and Kenya Deposit Insurance Corporation (KDIC) accepted an offer to acquire selected assets and deposits from Chase Bank. Dubai Bank is in the liquidation process and Imperial Bank is in a non-binding offer stage and the finalization of the transaction is expected by July 2018. The treatment of repurchase agreements in resolution, placed along with the rest of senior creditors according to the KDI Act, continues to create uncertainty for investors and curtail the development of the horizontal repo market. Moving forward, the authorities should move to address shortcomings in the bank resolution framework, including a complex legal regime and a lack of planning and coordination between relevant institutions that delays decision-making. The authorities should also consider amending the KDI Act to allow for netting off of repurchase agreements, which would, in turn, simplify the resolution of banks and ensure collateral enforceability.

36. The authorities are also making progress with Anti-Money Laundering/Combating Financing of Terrorism (AML/CFT reforms). Kenya's financial supervisors are working toward developing risk-based AML/CFT supervisory tools and to enhance the operations and procedures of Kenya's financial intelligence unit, which should help to strengthen anti-corruption efforts. While reporting entities are being encouraged to undertake risk assessments for AML/CFT, Kenya has not yet carried out a national risk assessment, which would help to better understand AML/CFT risks. The authorities are working (with Fund TA) to generate the data necessary to assess AML/CFT risks in the sector.

Authorities' views

37. The authorities agree with the need to continue strengthening banking supervision and support the recapitalization plans of the two government-owned banks. With regard to further strengthening of banking supervision, the authorities pointed to work toward improving its regulatory and supervisory framework to support continuous surveillance of regulated entities and conduct vulnerability assessments of banks. On interest rate controls, the authorities highlighted the

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CBK's engagement with banks on reviewing their business models based on customer needs, strengthening information sharing on credit and transparency of its pricing, and strengthening the current banking sector consumer protection, legal, and regulatory framework.

D. Structural Reforms: Promoting Inclusive Growth and Improving Governance

Background

38. Kenya has made impressive progress in strengthening the business environment, although indicators suggest that there is scope for further improvement. Kenya has improved significantly its ranking in the World Bank Doing Business Indicators (moving up a combined 33 places to 80 during 2016–18), with noteworthy improvements on starting a business, protecting minority investors, and resolving insolvency. Kenya has also continued to move up the WEF competitiveness ranks, moving to 91/137 in 2017–18, compared with 106/144 in 2011–13. However, performance on corruption, as measured by indicators compiled by the Transparency International and the World Bank, suggests continued challenges.

Policy discussions

39. The authorities should undertake additional reforms aimed at promoting strong and inclusive growth, strengthening transparency, and improving institutions and governance:

- **Furthering regional and multilateral integration.** The implementation of the Africa Continental Free Trade Area (CFTA), ratified by Kenya on March 27, 2018 along with the Comesa-EAC-SADC Tripartite FTA (TFTA), are significant and welcome steps toward regional integration, and staff encourage the authorities to continue to move forward with both. Staff encourages the authorities to sign the Economic Partnership Agreement (EPA) with the European Union.
- **PFM reforms.** Additional public financial management (PFM) reforms are needed to strengthen expenditure control and debt management, increase transparency, and improve the efficiency of public investment. Specific measures, which are structural benchmarks under the program (see Letter of Intent Table 4), include: (1) clarification of counties' power to set taxes/user fees to increase revenue at the county level to reduce pressures on transfers to counties; (2) standardization of guidelines for project appraisal and selection to improve the efficiency of public investment; (3) automation of the release of funds through the exchequer account to prevent the accumulation of pending bills; and (4) operationalization of a centralized payment system to ensure better control of public expenditure. In addition, efforts to provide a medium-term focus to budgeting, including the setting of expenditure ceilings that are consistent with medium term fiscal targets and realistic revenue projections, are of high priority. These efforts could draw on recent technical assistance.

- **Improving fiscal rules.** There is scope to further clarify Kenya's fiscal rules. The Public Finance Management Act (PFMA) of 2012 and the PFM Regulations of 2015 provide important fiscal targets and rules to help guide fiscal policy. Additional clarification would be helpful on the ceiling for the present value of public debt, in particular by indicating whether it applies to debt on a gross or net (of government deposits) basis. In addition, a description of the procedures and correction mechanisms to be followed in case the debt ceiling of 50 percent of GDP in NPV terms is breached would further strengthen the fiscal framework.
- **Strengthening macroeconomic statistics.** The quality of Kenya's macroeconomic statistics is broadly adequate for surveillance and for assessing program performance, and the authorities are taking further steps to strengthen data provision, in particular on government financial statistics. Nevertheless, further improvements are needed on balance of payments statistics, especially regarding the compilation of the International Investment Position (IIP) and financial account data. This should include dissemination of IIP data and revision of historical financial account data with the latest data available (see Informational Annex).

Authorities' views

40. The authorities noted the strong progress made recently on improving the business environment and their commitment to PFM reforms. They highlighted strong improvements in rankings across a variety of sub-categories of competitiveness, although they also noted that these indicators do not fully capture the improvements that have been made in reducing bottlenecks. They agreed that PFM reforms are a priority, as reflected in recent requests for technical assistance from the Fund. They also noted that they are working toward improving macroeconomic statistics.

PROGRAM PERFORMANCE AND MODALITIES

41. Since the March 2016 approval of the authorities' SBA/SCF, only the first review has been completed, on January 25, 2017. The performance criteria on the primary balance for end-December 2016 and end-June 2017 were missed due to revenue shortfalls and spending pressures, with the latter partly due to the drought (Letter of Intent Table 1). Understandings on corrective policies to address the slippage could not be reached due to the extended election period. The introduction of interest rate controls in September 2016 also weakened performance under the program. The implementation of structural benchmarks under the program has been partial (Letter of Intent Table 2), with only three of eight structural benchmarks met so far, partly due to the unexpectedly prolonged electoral cycle in 2017.

42. The SBA program was extended to September 14, 2018. The extension provides additional time for the authorities to bring the program back-on-track and reach new understandings with IMF staff on policies and measures that would enable the completion of the pending reviews under the SBA for Kenya. The authorities did not request an extension of the SCF as this type of arrangement can be approved up to a maximum of 24-months.

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43. Establishment of new end-June 2018 and continuous quantitative performance criteria (QPCs), indicative targets, a monetary policy consultation clause (MPCC), and structural benchmarks (SBs) for end-August 2018, is being proposed.

Since the governing performance criteria for the second review under the SBA (end-June 2017) are now considered outdated, establishment of new performance criteria and an MPCC for end-June 2018 and new Structural Benchmarks is proposed. These new QPCs, MPCC, and SBs would help to return Kenya to a sustainable fiscal path in line with program objectives and allow the banking sector to better support economic growth. The proposed QPCs (Letter of Intent Table 3) include a floor on the primary deficit in line with the authorities' end-fiscal year target of an overall deficit of 7.5 percent of GDP. The deficit target reflects the nominal target as discussed in the March 2018 staff report (requesting an extension of the SBA). With final 2017 nominal GDP lower than expected—due to a lower-than-expected GDP deflator—the deficit as a share of GDP, which had been 7.2 percent in March, is now higher. QPCs also include a floor on net international reserves, a ceiling on the government's external payment arrears, and a ceiling on new debt contracted or guaranteed by the national government and the CBK—the last is consistent with the reclassification of Kenya's risk of debt distress from low to moderate and Kenya's significant links to international capital markets. There is also a monetary policy consultation clause should inflation go outside of the CBK's target band. The proposed SBs (Letter of Intent Table 4) include significantly amending interest rate controls to avoid their adverse impact; and several PFM reforms as discussed in paragraph 39 above.

44. Kenya's capacity to repay the Fund remains strong. Export growth is expected to continue the recovery seen in 2017, supported by tourism and continued regional and continental integration. This, along with the envisaged fiscal consolidation and adequate international reserve coverage, would contain the risk of debt distress. Failure to fully implement the envisaged fiscal adjustment or repeal or significantly modify interest rate controls, which would negatively impact economic growth, revenue performance, and monetary policy effectiveness, as well as an external shock that increased financing pressures or spurred capital outflows, would negatively affect this assessment. While the authorities intend to continue to treat the program as precautionary, obligations to the Fund (assuming full drawings under the program) relative to exports and GDP are manageable.

45. The downside risks to the program are delayed or partial fiscal consolidation, failure to eliminate or amend interest rate controls, and external shocks. While political stability has improved since November 2017, some fissures remain—if they were to widen again, political considerations could delay the planned fiscal consolidation. Revenue outturns below those expected per the authorities' plans could also threaten the program's success. Likewise, while there appears to be political momentum behind modification of interest rate controls, there is a risk that the controls will not be modified in a timely fashion or be significantly modified. Failure to make progress in this area could lead to a reduction in growth by about ½ percent per annum in 2018 and beyond. Finally, tightening global monetary conditions could increase the public sector's gross external financing requirements.

46. If downside risks materialize, policy measures could be needed to safeguard stability and debt sustainability. Kenya's first line of defense in the event of a shock should be to allow flexibility in the exchange rate. That, combined with the use of Kenya's ample FX reserves, could minimize volatility and potentially provide space to continue with the needed fiscal adjustment. As noted above, failure to remove or significantly modify interest rate controls would limit the authorities' ability to respond in case downside risks materialize.

OTHER ISSUES

47. Capacity development needs are being addressed through a tailored technical assistance program (see Annex IV). Recent assistance has included strengthening public investment management, improving revenue administration integrity, and further development the bank supervision framework. Going forward, Kenya's capacity-building strategy should focus on strengthening the authorities' approach to medium-term budgeting, improving public financial management, further enhancing bank supervisory capacity, and expanding government financial statistics coverage.

48. The authorities have made some progress on improving macroeconomic statistics, but significant gaps remain. The overall quality, timeliness, and coverage of macroeconomic statistics has improved in recent years, although staffing and capacity constraints remain a challenge. In particular, the authorities should move to extend coverage of government financial statistics to public corporations and to improve public debt reporting. They should also move to disseminate international investment position data and to improve trade statistics. (See Informational Annex for additional information.)

49. The CBK has implemented all the recommendations of the May 2015 safeguards assessment. Notably, the legal framework was amended in line with staff's advice and subsequently enacted. CBK Board members were appointed in accordance with the provisions of this law, and the Audit Committee subsequently reconstituted.

STAFF APPRAISAL

50. Kenya has enjoyed macroeconomic stability and healthy economic growth in recent years. This has been supported by the authorities' efforts to strengthen public infrastructure, improve the business environment, and enable a rapid increase in financial inclusion.

51. Safeguarding these gains requires timely action to reduce government budget deficits and eliminate or significantly modify interest rate controls. A fiscal effort that delivers the adjustment recommended above will return debt to a sustainable path and will support the authorities' plans for boosting inclusive growth, including via the Big Four development plan. Likewise, elimination or significant modification of interest rate controls will enable greater credit growth, especially to SMEs, boosting economic growth, increasing financial access, and better

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enabling the CBK to conduct monetary policy. Staff welcomes the authorities' commitment to implementing these policies in a timely fashion.

52. Additional measures will be needed to achieve the authorities' fiscal targets. The authorities' plan correctly focuses on raising revenues to help protect priority spending. Nevertheless, given underlying weaknesses in tax revenues, additional measures will be needed to complement those included in the supplemental budget for FY2017/18 and the draft budget for FY2018/19. Cutting expenditure is necessary for 2017/18, given the limited time for the adjustment. Additional revenue measures, beyond those planned by the authorities for FY2018/19, will be needed to achieve the deficit target of 5.7 percent of GDP. These measures should be based on an ambitious reform of the remaining exemptions in the corporate income tax and value added tax. Gradually increasing these revenues over time would help achieve the authorities' medium-term objective of a deficit target of 3 percent of GDP.

53. More realistic revenue projections are essential to improve the transparency of the budget and improve the quality of fiscal adjustment. Overly optimistic revenue projections have reduced the transparency of the budget and necessitated ad-hoc spending cuts to meet fiscal targets. As in the past, these risks generating arrears and can lead to disruptive cuts in spending late in the fiscal year. Efforts to provide a medium-term focus to budgeting, including the setting of expenditure ceilings that are consistent with medium term fiscal targets and realistic revenue projections, are also of high priority.

54. Continued improvements in other areas of public financial management will be critical. This should include further clarification of Kenya's fiscal rules. It should also include measures aimed at reducing pressures on transfers to counties, preventing the accumulation of arrears, and improving the efficiency of public investment and expenditure control. It is also critical to closely monitor the implementation of PPPs and new spending programs under the Big Four to ensure that potential fiscal risks are contained.

55. Interest rate controls should be removed but, if this is not possible, the modification of controls should fully address their adverse effects. Immediate elimination or modification is key to restarting bank lending, supporting inclusive economic growth, and enabling the CBK to effectively implement an interest-rate based monetary policy framework. These modifications should include delinking the lending rate cap from the CBR, significantly increasing the lending rate cap with the aim of protecting consumers from predatory lending, and abolishing the floor on time deposit rates.

56. Revitalizing efforts to modernize the inflation-targeting monetary policy framework are key. Doing so will allow the CBK to reestablish the CBR's signaling role. This will require establishing an interest rate corridor around the CBR, once the interest rate controls are eliminated or modified; taking additional steps to smooth volatility in the interbank market; and allowing greater shilling flexibility in response to external shocks.

57. Kenya's external position is broadly stable. Lower imports have driven a narrowing of the current account deficit despite REER appreciation. Analysis suggests that Kenya's external position is weaker than fundamentals and desirable policy settings (see Annex II). International reserves are adequate and the business environment is improving.

58. The CBK has taken important steps to strengthen financial sector supervision. It should maintain its efforts to strengthen the banking supervision framework and take action to ensure that all banks are compliant with prudential capital and liquidity ratios.

59. Staff welcomes the impressive progress made in strengthening the business environment. Such improvements are necessary to raise potential growth and improve Kenya's medium-term prospects. Here, too, the removal of interest rate controls will be important, as will efforts by the authorities to improve governance by strengthening PFM.

60. Staff urges the authorities to continue in their efforts to improve macroeconomic statistics and their dissemination. Some progress has been made in improving data quality since Kenya's last Article IV staff report (see Annex I). However, important gaps remain, particularly with regard to government finance and balance of payments statistics. The authorities are encouraged to implement the enhanced General Data Dissemination Standards by launching their National Summary Data Page without further delay.

61. Staff supports the authorities' request for establishment of new QPCs and an MPCC under the SBA. The extension of the SBA until September 14, 2018 will give the authorities more time to work toward the objectives of the program, including meeting SBs by end August 2018, and reduce vulnerabilities. Staff recommends that the next Article IV consultation be held within 24 months in accordance with the Executive Board decision on consultation cycles for members with Fund arrangements.

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Proposed Decision

The following decision, which may be adopted by a majority of the votes cast, is proposed for adoption by the Executive Board.

1. Kenya has consulted with the Fund in accordance with paragraph 3 of the Stand-By Arrangement for Kenya (EBS/16/11, 3/1/2016) in order to establish performance criteria and a monetary policy consultation clause for end-June 2018 under the Stand-By Arrangement, as amended.
2. The letter dated May 25, 2018 from the Cabinet Secretary of the National Treasury & Planning and the Governor of the Central Bank of Kenya (the "May 2018 Letter") together with its attached Technical Memorandum of Understanding (the "May 2018 TMU") shall be attached to the Stand-By Arrangement, and the letter dated February 29, 2016 from the Cabinet Secretary of the National Treasury & Planning and the Governor of the Central Bank of Kenya, together with its attachments, as supplemented and modified, shall be read as further supplemented and modified by the May 2018 Letter and its attachments.
3. Accordingly, the Stand-By Arrangement for Kenya is amended as follows:
 - (a) Paragraph 3(a) of the Stand-By Arrangement, shall be revised as follows:

"Subject to paragraph 2 of Decision No. 14407-(09/105), as amended, during any period in which the data at the end of the preceding period indicate that:

 - (i) the floor on the primary budget balance of the national government of Kenya;

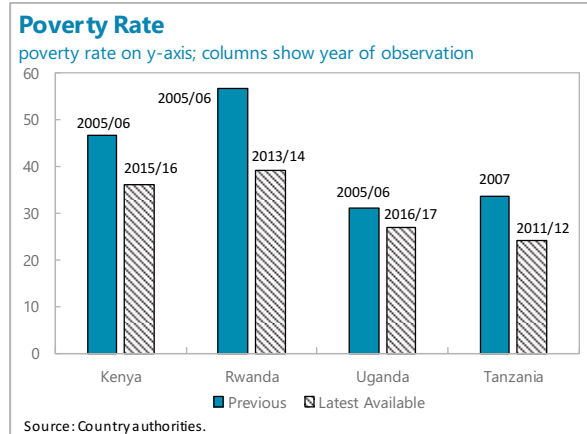
- (ii) the floor on the stock of net international reserves of the Central Bank of Kenya; or
 - (iii) the ceiling on contracting or guaranteeing of new debt by the national government and the Central Bank of Kenya,

as specified in Table 3 of the May 2018 letter and as further specified in the May 2018 TMU, is not observed; or"
- (b) In Paragraph 3(b) of the Stand-By Arrangement, "Table 1 of the January 2017 Letter and as further specified in the December 2016 TMU" shall be replaced with "Table 3 of the May 2018 Letter and as further specified in the May 2018 TMU".
- (c) In paragraph 3(e) of the Stand-By Arrangement, "paragraph 12 of the December 2016 TMU and Table 1 of the January 2017 Letter" shall be replaced with "paragraph 15 of the May 2018 TMU and Table 3 of the May 2018 Letter".
- (d) Accordingly, the Fund decides that the performance criteria and the monetary policy consultation clause referred to in Paragraphs 3(a) and 3(e), respectively, of the Stand-By Arrangement for Kenya for end-June 2018 shall be as specified in Table 3 of the May 2018 Letter and as further specified in the May 2018 TMU.

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Box 1. Poverty, Inequality, and Employment Developments

The recently released 2015/16 Household Budget Survey shows strong advances in poverty reduction over the past decade. The survey, published March 22, 2018, shows a significant reduction in Kenya's overall poverty incidence between 2005/06 and 2015/16, from 46.8 percent to 36.1 percent. This is broadly in line with trends in EAC peers over the past decade, although Kenya's poverty rate appears to remain well above that of Uganda and Tanzania. In line with this headline figure, Kenya's food poverty and extreme poverty rates fell by roughly similar margins, to 32.0 percent and 8.6 percent, respectively. The reduction in the overall poverty rate was driven by rural areas (where about two-thirds of Kenya's population lives), where the poverty rate fell from 52.5 to 40.1 percent. The urban poverty rate fell by a much smaller margin, but with a poverty rate of 29.4 percent urban areas remain much less poor than rural Kenya.



The survey also suggests labor market improvements. Kenya's employment ratio (those with employment as a share of the working age population) improved slightly between 2009 and 2016, from 69.3 to 71.6 percent, with a similar increase among rural and urban areas (to 73.2 and 69.4, respectively). However, employment rates fell among younger age brackets (15–19 and 20–24), leaving youth employment particularly low at 27.6 percent.

Inequality and gender disparities remain prominent in Kenya. The household survey indicates that the top income quintile accounts for 59.4 percent of consumption expenditure, with this inequality even more pronounced in urban and semi-urban areas. The survey also finds that female-headed households are somewhat poorer than male-headed households (30.2 percent versus 26.0 percent), despite UNDP data showing some gradual reduction in gender inequality over the past decade. Likewise, while male labor force participation and unemployment rates stood at 79.2 percent and 5.2 percent, respectively, these rates were only 75.6 and 9.6 percent for women, with women comprising nearly two-thirds of Kenya's unemployed.

Box 2. The Big Four

President Kenyatta announced the “Big Four” program in December 2017, shortly following his inauguration. The stated goal of the program is to focus the government’s economic development agenda for the next five years on the manufacturing sector, affordable housing, universal affordable health care, and food security.

The authorities are still in the process of identifying specific policies and corresponding financing needs over the next five years. However, responsibilities for each policy area have been assigned to relevant ministries. It is currently estimated that, for FY2018/19, about US\$4–5 billion will be allocated for related projects, with about US\$2.1 billion (about 2.3 percent of GDP) coming from the government. On the government side, most would involve reallocation of existing budgeted funds, although details are still not available.

Specific policies under consideration include:

- *Manufacturing:* The authorities seek to increase manufacturing’s share of GDP from 9 to 15 percent by 2022. Policies could include reduction in the cost of off-peak power for heavy industries; creation of industrial parks and SEZs; and enforcement of local contracts for government projects and procurement.
- *Housing:* The authorities are considering creating a housing development fund to serve as a financing vehicle to use publicly-owned land to encourage the construction of low-cost housing. They are also considering creating a refinance company that would issue bonds in the local capital market. With the proceeds, the finance company would extend long-term loans to financial institutions secured against mortgages, which would help create a market for longer-maturity mortgages. The government also announced a lower tax rate for developers who build a certain number of housing units per year.
- *Health care:* The government seeks to provide universal health care, although the ultimate cost will depend on how generous the package of benefits will be. The government would also look to reform the governance of private insurance companies and increase the number of community health facilities.
- *Food security:* Policies would focus on large-scale production, improving smallholder productivity, and reducing the cost of food. The latter would be achieved by expanding the amount of land under production with the cooperation of the private sector via PPPs, better coordination of irrigation services, improving access to credit for the agriculture sector, and redesigning Kenya’s food subsidy model to better target farmers’ needs.

Development efforts targeting these four areas are welcome, but the authorities should carefully consider the design of policies to achieve these objectives. Policies geared toward boosting the manufacturing sector should seek to correct market failures or negative externalities and apply to industries as a whole. The authorities should seek to avoid “picking winners” and ideally leave the implementation and assessment of incentives to an independent body to ensure a level playing field. The authorities should also seek to ensure that any local content policies are in line with existing WTO agreements.

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Box 3. Strengthening International Corporate Taxation in Kenya¹

The overall parameters of Kenya's current international tax regime are quite sound, but several important steps could be taken to improve the regime going forward. This will be necessary to avoid the likely increase in leakage from the tax base that can be expected as a result of increasing cross-border inbound investment, and from constraints on cross border taxation arising from a widening tax treaty network.

A transparent treaty policy that uses cost-benefit analysis to assess the need for a treaty is essential to preserve the integrity of Kenya's treaty network. To restrict revenue leakage through payment of inter-group technical, management and professional service fees, future treaties should include a separate technical services article (following the Seychelles Treaty Article 13 model). To limit incentives for treaty shopping, a limitation of benefits (LOB) provision restricting use of a DTT to entities that have a sufficient economic nexus to justify the source country tax concessions given up by Kenya should be included. If Kenya were to adopt the Multilateral Legal Instrument an LOB provision would be added to existing treaties. Finally, many of Kenya's treaties do not include the necessary provisions to make effective the relatively recent additions to the ITA designed to permit taxation of indirect offshore transfers of interest in Kenyan immovable assets.

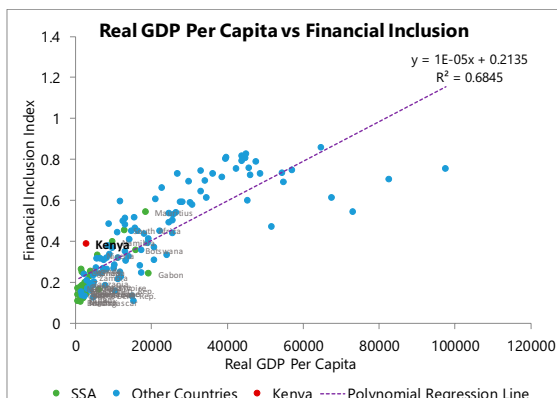
An "earnings stripping" rule could augment the current thin-capitalization rule to limit earning stripping via interest payment, by implementing a "fixed ratio" rule that limits net interest deductions claimed by a company to a fixed percentage of earnings before interest, taxes and depreciation (EBITDA). This ratio is most typically set at (a generous) 30 percent of applicable EBITDA. This type of rule avoids problems such as the need to define what constitutes debt or to combat the charging of an excessively high interest rate on related party debt.

There are also a number of improvements in transfer pricing policy that can be revenue enhancing, starting with using risk-based analysis to identify cases that are targets for enforcement. The draft income tax bill has addressed some of these issues, for example by introducing the profit split method in the Eighth Schedule, but more improvements are needed in the longer term and would need to be implemented outside the scope of the income tax bill.

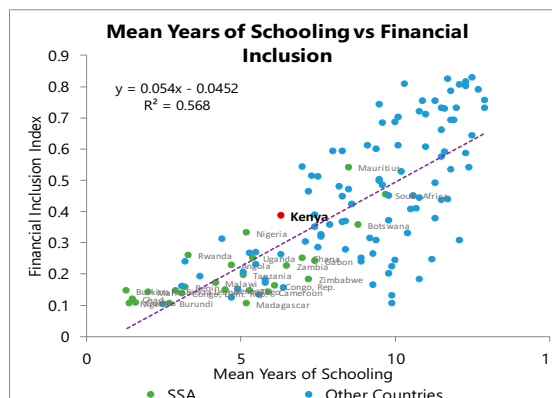
¹ See selected issues paper for additional detail.

Figure 1. Kenya: Financial Inclusion and Socio-Economic Conditions

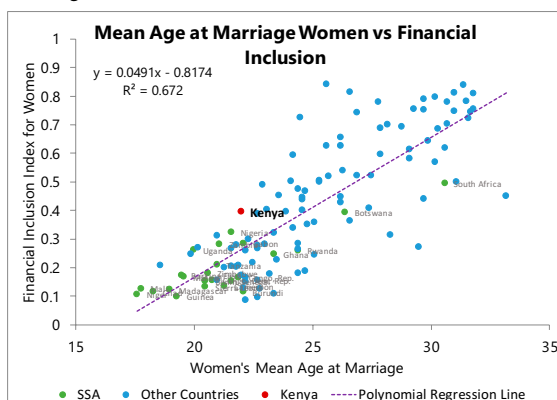
Kenya's level of financial inclusion is high relative to peers with similar per capita income,



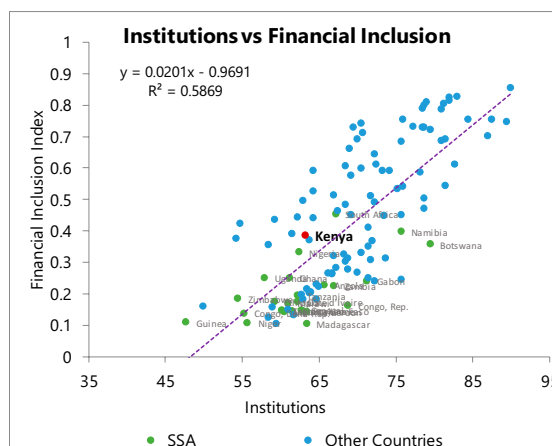
... relative to peers with similar level of education,



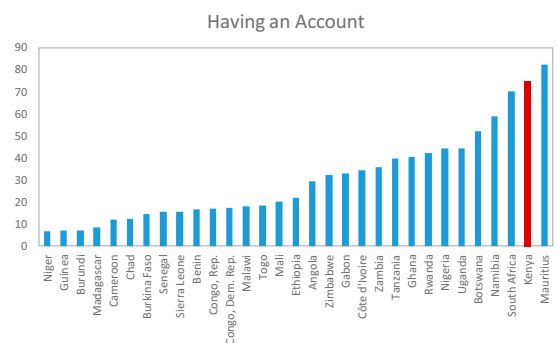
... relative to peers with similar mean age of women at marriage,



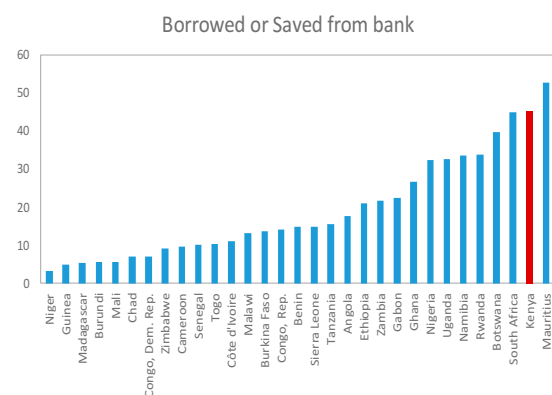
... and relative to peers with similar level of governance.



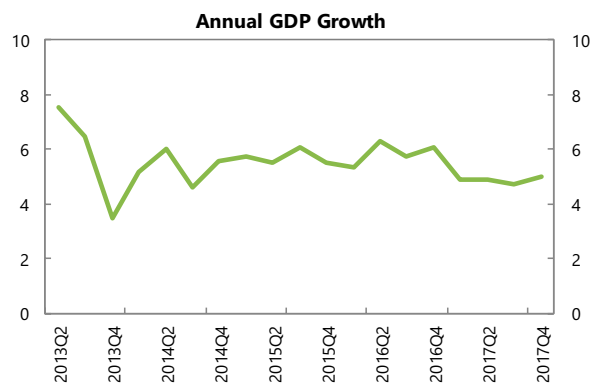
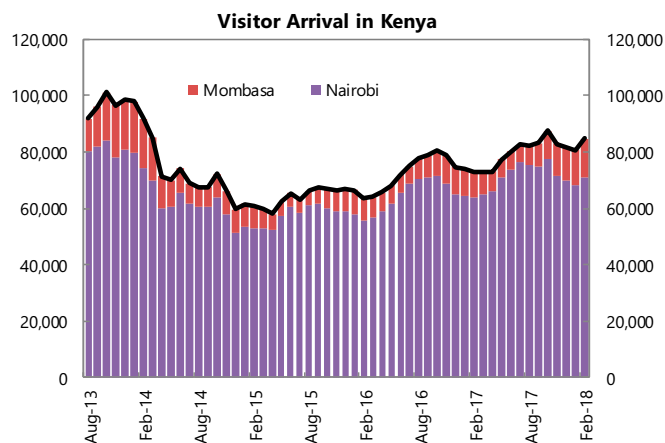
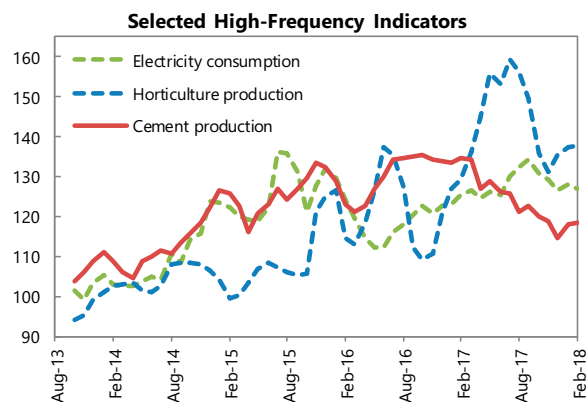
Kenya's financial inclusion is high in terms of not only access...



but also in terms of types of financial services.



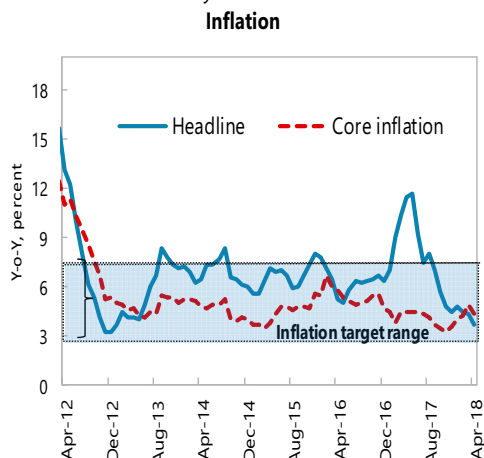
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Figure 2. Kenya: Real Sector, 2013–17*Growth has remained robust despite deceleration in 2017...**...with visitor arrivals recovering in late 2017...**...and mixed signals from high-frequency indicators.*

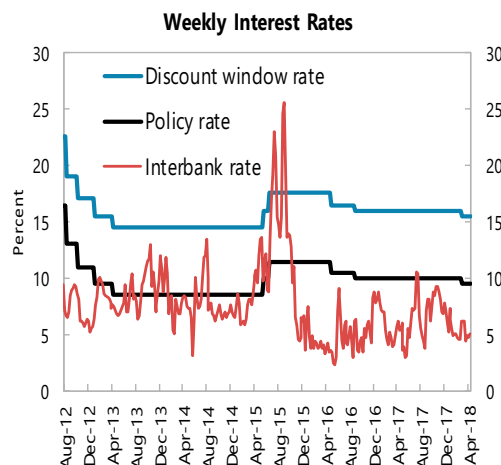
Sources: Kenyan authorities; and IMF staff calculations.

Figure 3. Kenya: Monetary Sector, 2012–18

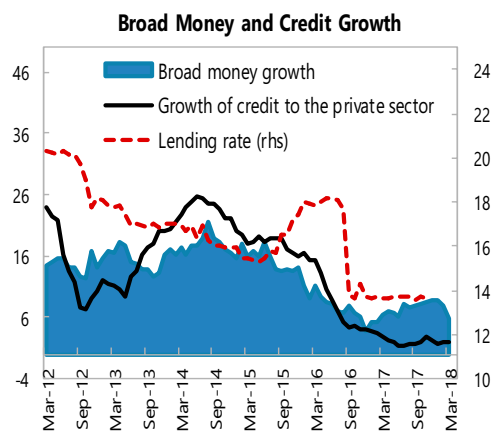
Inflation breached the target band in H1 2017, but fell within the band in July.



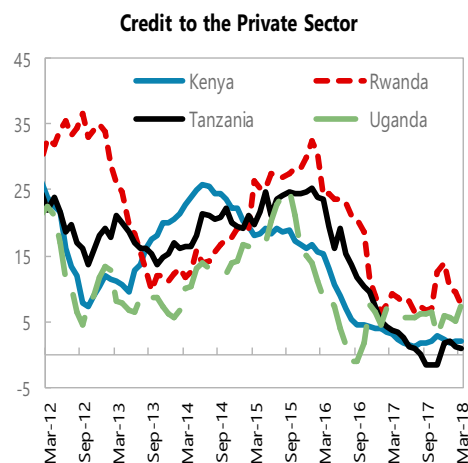
Money market rate deviations from the policy rate persist.



Credit growth has slowed significantly...

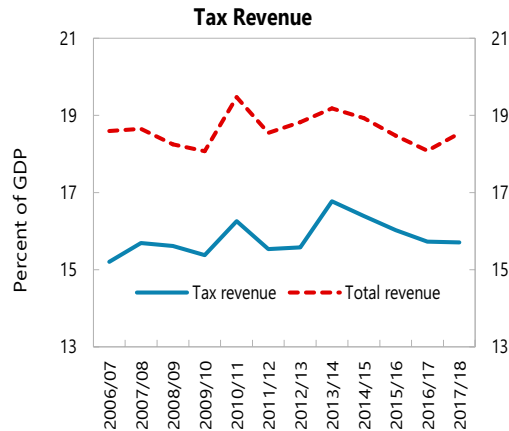
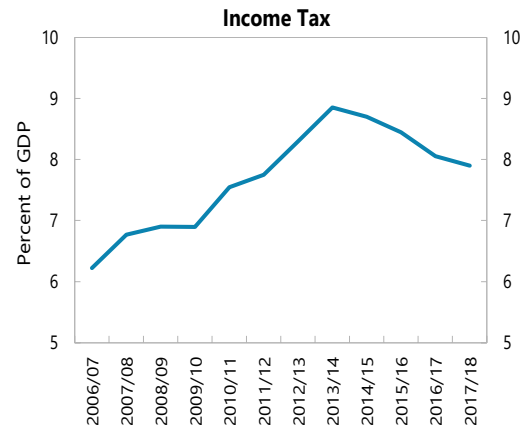
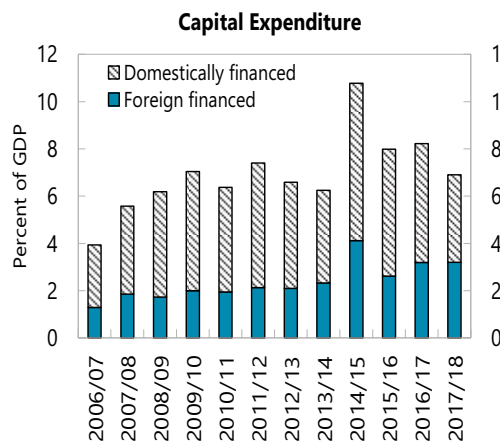
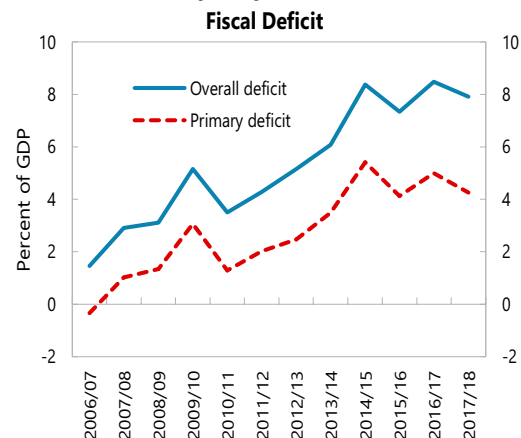


... in line with developments in other EAC countries.

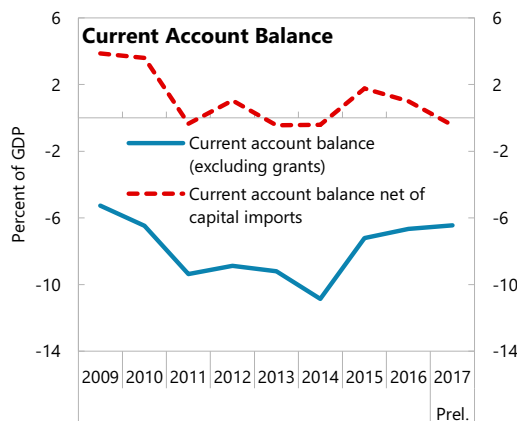
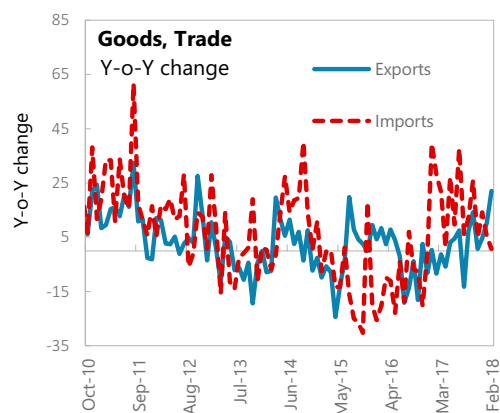
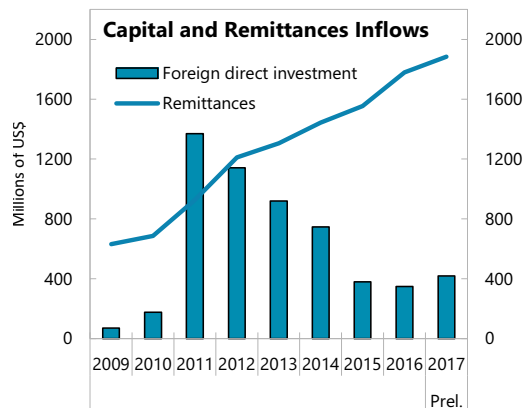
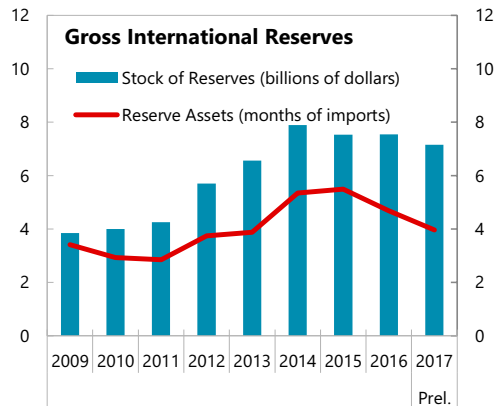


Source: Bloomberg; Kenyan authorities; and IMF staff calculations.

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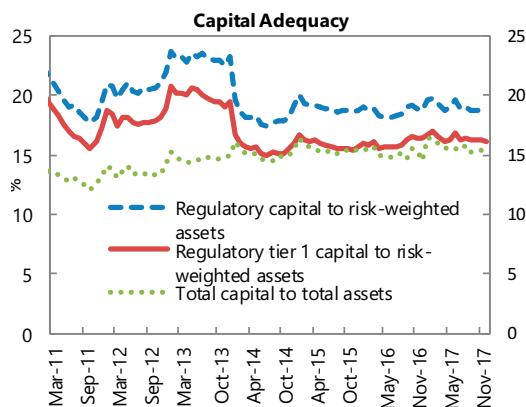
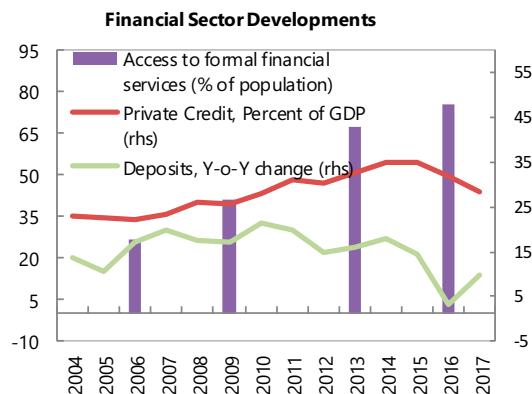
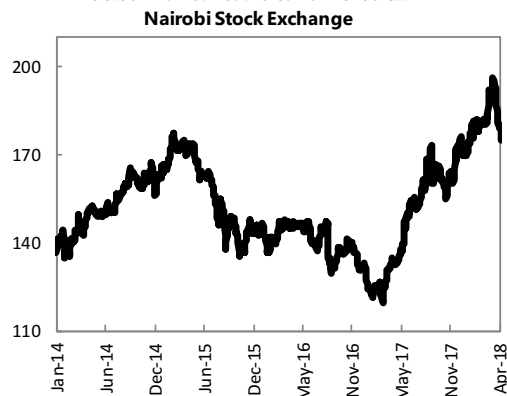
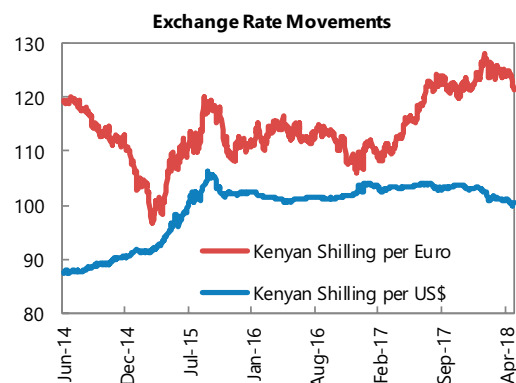
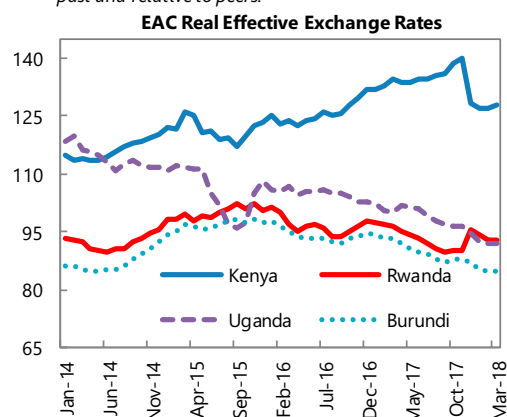
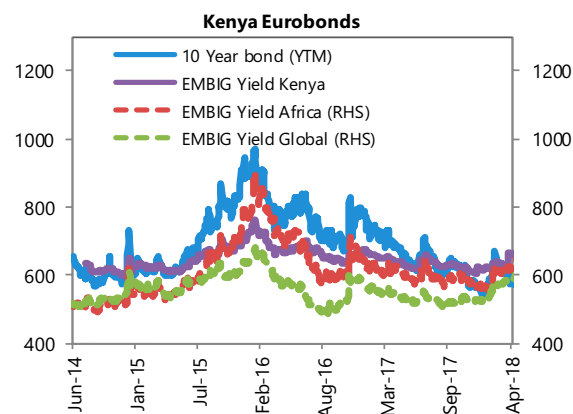
Figure 4. Kenya: Fiscal operations, 2006/07–16/17*Revenue collection has declined in recent years...**... as reflected in recent challenges in PIT collection.**Capital spending has remained strong...**... contributing to high fiscal deficits.*

Source: Kenyan authorities; and IMF staff calculations.

Figure 5. Kenya: External Sector, 2009–17*The current account balance has improved...**...despite a jump in imports in 2017.**Remittances remain strong but FDI has fallen.**International reserves remain adequate.*

Sources: Kenyan authorities; and IMF staff calculations.

KENYA

Figure 6. Kenya: Financial Sector, 2014–17*The banking sector is adequately capitalized ...**... and financial deepening continues, despite the credit slowdown.**The stock market weathered 2017 shocks...**... and the shilling has stabilized against the U.S.\$...**...resulting in a REER at the highest level in the recent past and relative to peers.**Kenya bond yields have declined as in peers in the region.*

Sources: Kenyan authorities; Bloomberg; and IMF staff calculations.

Table 1a. Kenya: Selected Economic Indicators, 2014/15–2021/22¹

	2014/15	2015/16	2016/17		2017/18	2018/19	2019/20	2020/21	2021/22
	Act.	Act.	Prog.	Prel.			Proj.		
(Annual percentage change, unless otherwise indicated)									
Output, prices, and exchange rate									
Real GDP	5.5	5.8	5.6	5.4	5.3	5.9	6.1	6.3	6.5
GDP deflator	9.1	9.0	5.9	5.2	5.1	4.7	4.4	5.2	5.1
CPI (period average)	6.6	6.5	6.4	8.1	5.2	5.5	5.0	5.0	5.0
CPI (end of period)	7.0	5.8	6.5	9.2	5.2	5.4	5.0	5.0	5.0
Core inflation (period average) ²	4.4	5.4	5.0	4.0	3.9	4.8	4.8	5.2	5.5
Exports volume	6.0	1.7	7.4	3.4	12.8	12.5	9.2	8.6	8.1
Imports volume	3.2	-1.3	4.1	3.4	6.4	6.2	9.4	9.6	8.9
Exchange rate (Kenyan shilling/US\$)	92.7	102.1	.	.	.	.	.	.	.
Real effective exchange rate (depreciation, -)	6.0	1.5	.	.	.	.	.	.	.
Money and credit									
Broad money (M3)	18.4	8.1	10.5	6.0	.	.	.	.	.
Reserve money	14.9	4.9	10.8	2.4	.	.	.	.	.
Credit to non-government sector	18.3	8.9	6.0	1.5	.	.	.	.	.
Policy rate	10.0	10.5	.	.	.	.	.	.	.
M3/GDP (percent)	43.8	41.1	40.9	38.9	.	.	.	.	.
NPLs (percent of total gross loans)	5.7	n.a.	.	.	.	.	.	.	.
(Percent of GDP, unless otherwise indicated)									
Central government budget									
Total revenue and grants	19.4	18.8	21.0	18.9	19.9	20.8	20.8	20.8	20.7
Tax revenues	16.4	15.9	17.0	16.1	16.0	17.2	17.3	17.4	17.5
Non-tax revenues	2.5	2.4	3.4	2.4	3.4	3.1	3.0	2.9	2.7
Grants	0.5	0.4	0.5	0.3	0.5	0.5	0.5	0.5	0.5
Expenditure	28.0	26.5	27.9	27.9	28.0	27.4	26.2	25.9	25.2
Current	19.3	19.3	19.9	19.5	21.4	20.8	19.7	19.3	19.0
Capital	8.7	7.2	8.0	8.4	6.6	6.6	6.5	6.6	6.2
Unidentified measures	0.0	0.0	0.0	0.0	0.6	0.9	1.4	1.6	1.1
Primary balance	-5.4	-4.1	-3.8	-5.6	-3.2	-0.5	1.5	2.1	1.3
Overall balance	-8.4	-7.3	-6.9	-9.2	-7.5	-5.7	-4.0	-3.5	-3.5
Excluding SGR (phase 1) related spending	-6.3	-6.5	-6.0	-7.8	-6.7	-5.2	-3.6	-2.9	-3.5
Excluding grants	-8.8	-7.7	-7.5	-9.6	-8.0	-6.2	-4.5	-4.0	-4.0
Net domestic borrowing	4.3	3.3	4.3	4.1	4.1	1.8	3.8	3.9	3.5
Public debt ³									
Public gross nominal debt	47.9	52.9	52.5	58.3	60.7	60.2	57.7	57.2	54.5
Public net nominal debt	43.7	47.0	49.4	52.6	55.5	56.1	55.8	55.3	52.6
of which : external public debt	23.6	26.0	26.1	30.4	31.2	32.5	30.6	28.5	25.6
Public gross debt, PV	43.5	45.5	48.8	53.0	58.0	60.2	58.4	55.6	53.7
Public net debt, PV	39.4	39.6	45.7	47.2	52.8	56.1	56.4	53.6	51.8
Gross domestic debt	24.3	27.0	26.4	28.0	29.5	27.8	27.1	28.7	28.9
Investment and saving									
Investment	19.9	24.3	20.9	17.4	17.0	18.5	19.5	20.3	20.2
General government	8.7	7.2	9.6	8.5	6.7	6.6	6.5	6.4	6.2
Nongovernment	11.2	17.1	11.3	8.9	10.3	11.8	13.1	13.8	14.1
Saving	10.0	20.0	15.4	12.0	10.3	12.0	13.4	14.1	14.0
General government	-0.4	-0.8	2.1	-0.8	-1.3	0.5	2.0	2.6	2.3
Nongovernment	10.4	20.8	13.3	12.8	11.6	11.5	11.4	11.5	11.7
External sector									
Exports (goods and services)	17.0	15.9	17.1	15.2	16.1	16.7	17.1	17.4	17.4
Imports (goods and services)	-31.3	-24.0	-25.6	-24.1	-25.9	-25.9	-26.0	-26.4	-26.5
Current account balance (including grants)	-9.9	-4.3	-5.5	-5.5	-6.7	-6.4	-6.2	-6.2	-6.3
Gross international reserves									
In billions of US\$	7.2	8.3	8.9	8.6	8.9	9.1	9.9	10.5	11.4
In months of next year imports	5.3	5.7	5.3	5.0	4.7	4.5	4.4	4.3	4.3
Memorandum items:									
GDP at current market prices									
Billion of Kenyan shillings	5,849	6,734	7,435	7,556	8,305	9,260	10,255	11,249	12,827
US\$ billion	62.7	67.4	72.0	73.0	79.2	86.8	93.8	101.6	110.7
GDP per capita (nominal US\$)	1,439	1,504	1,562	1,583	1,671	1,782	1,875	1,976	2,096

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ Fiscal years are from July 1 to June 30.² Excluding food and fuel.³ Excludes guaranteed debt and other contingent liabilities.

KENYA

Table 1b. Kenya: Selected Economic Indicators, 2015–22

	2015	2016	2017	2018	2019	2020	2021	2022
	Act.	Act.	Prog.	Prel.		Proj.		
(Annual percentage change, unless otherwise indicated)								
Output, prices, and exchange rate								
Real GDP	5.7	5.9	5.3	4.9	5.7	6.0	6.2	6.5
GDP deflator	10.0	8.1	5.8	2.7	5.3	5.8	5.3	5.1
CPI (period average)	6.6	6.3	6.3	8.0	5.0	5.3	5.0	5.0
CPI (end of period)	8.0	6.3	5.9	4.5	5.5	5.1	5.0	5.0
Core inflation (period average) ¹	4.4	5.4	5.0	4.0	3.9	4.8	4.8	5.2
Exports volume	-6.8	2.0	7.8	7.8	17.6	12.0	10.6	9.4
Imports volume	0.0	-2.6	4.9	9.6	3.5	8.9	9.8	9.4
Exchange rate (Kenyan shilling/US\$)	98.2	101.5	.	103.2	.	.	.	.
Real effective exchange rate (depreciation, -)	4.5	3.9	.	.	.	.	.	.
Money and credit								
Broad money (M3)	14.1	3.7	14.7	9.5	8.5	27.7	20.1	18.8
Reserve money	3.4	4.8	12.9	6.7	5.5	26.3	18.9	17.3
Credit to non-government sector	16.0	4.1	6.7	2.4	12.6	17.9	19.8	20.1
Policy rate	11.5	10	.	10	.	.	.	.
M3/GDP (percent)	42.4	38.4	40.9	39.1	38.1	43.4	46.6	49.4
NPLs (percent of total gross loans)	6.8	9.1	.	10.6	.	.	.	51.4
(Percent of GDP, unless otherwise indicated)								
Central government budget								
Total revenue and grants	19.1	18.7	21.1	19.9	20.7	21.0	20.7	20.7
Tax revenues	16.2	15.9	17.2	16.4	16.9	17.4	17.3	17.5
Non-tax revenues	2.5	2.4	3.3	3.0	3.3	3.0	2.9	2.8
Grants	0.5	0.4	0.6	0.4	0.5	0.5	0.5	0.5
Expenditure	27.2	27.0	27.6	28.6	28.2	27.0	25.9	25.6
Current	19.3	19.2	19.9	20.9	21.4	20.4	19.4	19.3
Capital	7.9	7.8	7.7	7.7	6.7	6.6	6.5	6.4
Unidentified measures	0.0	0.0	0.1	0.7	0.8	0.9	1.4	1.4
Primary balance	-4.7	-4.9	-3.2	-4.8	-2.6	-0.6	0.3	0.5
Excluding SGR (phase 1) related spending	-3.4	-3.8	-2.7	-3.7	-2.0	-0.2	0.7	0.6
Overall balance	-8.1	-8.3	-6.4	-8.7	-7.4	-6.0	-5.2	-3.5
Excluding grants	-8.6	-8.7	-7.0	-9.2	-7.9	-6.5	-5.7	-4.0
Net domestic borrowing	3.7	3.7	3.7	4.2	2.9	2.9	3.8	3.7
Public debt ²								
Public gross nominal debt	51.4	53.2	54.7	58.0	63.2	62.9	60.0	57.5
Public net nominal debt	46.3	47.9	52.1	52.4	58.5	59.9	58.1	55.6
of which: external public debt	25.7	26.4	28.3	28.5	34.1	35.2	32.3	28.8
Public gross debt, PV	40.4	50.6	49.0	55.4	60.6	59.9	56.9	54.3
Public net debt, PV	35.3	45.3	46.4	49.8	55.8	56.9	54.9	52.4
Gross domestic debt	25.7	26.8	26.4	29.5	29.1	27.6	27.8	28.7
Investment and saving								
Investment	16.7	16.1	19.9	17.2	17.8	19.1	20.0	20.3
General government	7.9	7.8	9.5	7.7	6.7	6.6	6.5	6.3
Nongovernment	8.8	8.3	10.4	9.5	11.1	12.6	13.6	14.1
Saving	10.0	11.0	14.2	10.3	11.1	12.8	14.0	14.1
General government	-0.6	-0.8	2.3	-1.1	-0.4	1.3	2.3	2.4
Nongovernment	10.6	11.8	11.8	11.4	11.5	11.5	11.7	11.7
External sector								
Exports (goods and services)	16.6	14.5	16.4	15.7	16.5	16.9	17.3	17.4
Imports (goods and services)	-27.7	-23.2	-24.5	-25.8	-25.9	-25.9	-26.2	-26.5
Current account balance (including grants)	-6.7	-5.2	-5.7	-6.8	-6.6	-6.3	-6.1	-6.3
Gross international reserves								
In billions of US\$	7.5	7.5	8.5	7.1	8.0	9.2	10.2	11.0
In months of next year imports	5.5	4.7	4.8	4.0	4.1	4.3	4.4	4.3
Memorandum items:								
GDP at current market prices								
Billions of Kenyan shillings	6,284	7,194	7,784	7,749	8,631	9,678	10,823	12,108
US\$ billion	64.0	70.9	75.1	75.1	83.3	90.3	97.4	105.9
GDP per capita (nominal US\$)	1,448	1,559	1,607	1,606	1,735	1,829	1,920	2,032

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ Excludes food and fuel.² Excludes guaranteed debt and other contingent liabilities.

Table 2a. Kenya: Central Government Financial Operations, 2016/17—2020/21¹
(Billions of Kenyan Shilling)

	2016/17	2017/18		2018/19		2019/20	2020/21
	Prel.	Supp II	Proj.	Supp II	Draft Budget	Proj.	Proj.
Revenues and grants	1,426.9	1,702.6	1,655.3	1,959.3	1,970.4	1,924.4	2,133.6
Revenue	1,400.6	1,659.6	1,612.3	1,908.8	1,923.3	1,877.4	2,080.8
Tax revenue	1,219.5	1,370.1	1,327.5	1,639.1	1,639.1	1,593.1	1,778.0
Income tax	625.1	709.3	673.8	836.6	836.6	798.7	888.9
Personal income	334.9	379.9	365.4	447.6	447.6	412.1	461.5
Corporate income	290.1	329.4	308.3	388.9	388.9	386.6	427.5
Import duty (net)	89.9	103.4	99.7	119.4	119.4	112.8	127.6
Excise duty	165.5	179.4	179.4	219.0	219.0	210.0	233.8
Value-added tax	339.0	378.0	374.6	464.2	464.2	471.6	527.7
Domestic	192.9	218.6	214.6	257.3	257.3	251.6	280.0
Imports	125.9	159.4	159.9	206.9	206.9	220.1	247.7
Nontax revenue	181.1	289.5	284.8	269.8	284.2	284.2	302.8
Investment income	28.5	31.6	31.6	24.6	24.6	24.6	27.4
Other	57.8	88.0	83.3	79.7	79.7	79.7	88.7
Ministerial and Departmental Fees (AIA)	75.9	148.8	148.8	140.7	155.2	155.2	161.1
Railway Levy	18.9	21.2	21.2	24.7	24.7	24.7	25.6
Grants	26.3	43.0	43.0	50.5	47.0	47.0	52.7
Project grants	19.1	36.9	36.9	44.4	40.0	40.0	46.6
Program grants	6.8	6.1	6.1	6.1	7.1	7.1	6.1
AMISON	0.4	0.0	0.0	0.0	0.0	0.0	0.0
Expenditure and net lending	2,110.0	2,330.0	2,327.5	2,520.9	2,533.1	2,533.1	2,687.6
Recurrent expenditure	1,470.1	1,773.6	1,774.0	1,908.0	1,923.0	1,923.0	2,023.9
Transfer to counties	305.0	331.7	331.7	372.7	374.6	374.6	372.2
Interest payments	271.2	305.1	305.1	399.6	400.0	400.0	423.3
Domestic interest	212.9	215.2	215.2	286.9	285.6	285.6	288.4
Foreign interest due	58.4	89.8	89.8	112.7	114.4	114.4	134.9
Wages and benefits (civil service)	336.6	392.8	392.8	444.2	444.2	444.2	484.4
Civil service reform	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Pensions and Other Consolidated Fund Services	64.0	76.2	76.2	106.4	105.9	105.9	133.5
Defense and NSIS	130.2	138.8	138.8	125.5	126.8	126.8	126.5
Other	363.0	529.1	529.4	454.6	466.5	466.5	479.0
Development and net lending	639.9	556.3	553.6	612.9	610.2	610.2	663.7
Domestically financed	385.1	317.5	313.2	353.7	355.9	355.9	375.2
Foreign financed	246.4	236.4	237.9	252.2	247.2	247.2	281.1
of which: SGR project	111.4	58.0	69.0	50.0	50.0	50.0	68.3
Net lending	2.4	2.4	2.4	2.4	2.4	2.4	1.6
Overall Balance (incl. grants)	-683.1	-627.4	-672.3	-561.6	-562.7	-608.7	-554.0
Adjustments to cash basis	-14.2	0.0	0.0	0.0	0.0	0.0	0.0
Unidentified measures (deficit reducing)	0.0	0.0	49.3	0.0	0.0	80.9	140.3
Overall balance including measures (cash basis, incl. grants)	-697.3	-627.4	-622.9	-561.6	-562.7	-527.8	-413.7
<i>Statistical discrepancy</i>	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Financing	697.3	627.4	622.9	561.6	562.7	527.8	413.7
Net foreign financing	385.7	354.6	281.5	281.2	282.5	360.1	9.1
Disbursements	421.7	504.9	506.4	531.5	532.8	532.8	365.5
Project loans	117.2	140.2	140.2	181.9	181.3	181.3	187.9
Program loans	6.8	7.0	7.0	2.5	2.5	2.5	1.5
Commercial borrowing ²	186.3	290.2	290.2	297.1	298.9	298.9	107.8
Standard Gauge Railway	111.4	67.5	69.0	50.0	50.0	50.0	68.3
Phase 1	111.4	58.0	59.5	0.0	0.0	0.0	0.0
Phase 2	0.0	9.5	9.5	50.0	50.0	50.0	68.3
Repayments due	-35.9	-150.3	-224.9	-250.3	-250.3	-172.7	-356.3
Net domestic financing	311.5	272.8	341.4	280.4	280.3	167.7	404.6
<i>Memorandum items:</i>							
Nominal GDP	7,556.0	8,553.9	8,305.5	9,790.8	9,726.6	9,259.7	10,254.7
Primary balance incl. grants	-426.0	-322.3	-317.8	-162.0	-162.8	-127.8	9.6
Total gross public debt, gross	4,407.0	...	5,042.3	...	...	5,578.0	5,918.6
of which: external debt ³	2,294.7	...	2,588.7	...	...	3,006.6	3,139.7
of which: domestic debt	2,112.3	...	2,453.7	...	...	2,571.4	2,778.9
Total net public debt ⁴	3,972.5	...	4,607.9	...	...	5,193.5	5,718.0

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ Fiscal year runs from July to June.

² Includes proceeds from (i) syndicated loans and (ii) planned sovereign bonds.

³ External debt excludes guarantees.

⁴ Total net debt in 2013/14 includes proceeds from US\$2.0bn Eurobond.

KENYA

Table 2b. Kenya: Central Government Financial Operations, 2016/17–2020/21¹

	2016/17		2017/18		2018/19		2019/20	2020/21
	Prog.	Prel.	Supp II	Proj.	Supp II	Draft Budget	Proj.	Proj.
<i>(in percent of GDP, unless otherwise indicated)</i>								
Revenues and grants	21.0	18.9	20.5	19.9	21.2	21.3	20.8	20.8
Revenue	20.4	18.5	20.0	19.4	20.6	20.8	20.3	20.3
Tax revenue	17.0	16.1	16.5	16.0	17.7	17.7	17.2	17.4
Income tax	8.9	8.3	8.5	8.1	9.0	9.0	8.6	8.7
Personal income	4.9	4.4	4.6	4.4	4.8	4.8	4.5	4.5
Corporate income	4.0	3.8	4.0	3.7	4.2	4.2	4.2	4.2
Import duty (net)	1.2	1.2	1.2	1.2	1.3	1.3	1.2	1.3
Excise duty	2.4	2.2	2.2	2.2	2.4	2.4	2.3	2.2
Value-added tax	4.6	4.5	4.6	4.5	5.0	5.0	5.1	5.2
Nontax revenue	3.4	2.4	3.5	3.4	2.9	3.1	3.1	3.0
Investment income	0.4	0.4	0.4	0.4	0.3	0.3	0.3	0.3
Other	1.0	0.8	1.1	1.0	0.9	0.9	0.9	0.9
Grants	0.5	0.3	0.5	0.5	0.5	0.5	0.5	0.5
Expenditure and net lending	27.9	27.9	28.1	28.0	27.2	27.4	27.4	25.9
Recurrent expenditure	19.7	19.5	21.4	21.4	20.6	20.8	20.8	19.3
Transfer to counties	3.8	4.0	4.0	4.0	4.0	4.0	4.0	3.6
Interest payments	3.1	3.6	3.7	3.7	4.3	4.3	4.3	4.1
Domestic interest	2.3	2.8	2.6	2.6	3.1	3.1	3.1	2.8
Foreign interest due	0.8	0.8	1.1	1.1	1.2	1.2	1.2	1.3
Wages and benefits (civil service)	4.6	4.5	4.7	4.7	4.8	4.8	4.8	4.7
Pensions and Other Consolidated Fund Services	0.8	0.8	0.9	0.9	1.1	1.1	1.1	1.3
Defense and NSIS	1.7	1.7	1.7	1.7	1.4	1.4	1.4	1.2
Other	5.6	4.8	6.4	6.4	4.9	5.0	5.0	4.7
Development and net lending	8.0	8.5	6.7	6.7	6.6	6.6	6.6	6.6
Domestically financed	5.4	5.1	3.8	3.8	3.8	3.8	3.8	3.7
Foreign financed	2.6	3.3	2.8	2.9	2.7	2.7	2.7	2.7
of which: SGR project	1.0	1.5	0.7	0.8	0.5	0.5	0.5	1.2
Overall Balance (incl. grants)	-6.9	-9.0	-7.6	-8.1	-6.1	-6.1	-6.6	-5.4
Adjustments to cash basis	0.0	-0.2	0.0	0.0	0.0	0.0	0.0	0.0
Overall balance (cash basis, incl. grants)	-6.9	-9.2	0.0	-8.1	-6.1	-6.1	-6.6	-5.4
Unidentified measures (deficit reducing)	0.0	0.0	0.0	0.6	0.0	0.0	0.9	1.4
Overall balance incl. measures and grants (cash basis)	-6.9	-9.2	-7.6	-7.5	-6.1	-6.1	-5.7	-4.0
Statistical discrepancy	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Financing	6.9	9.2	7.6	7.5	6.1	6.1	5.7	4.0
Net foreign financing	2.6	5.1	4.3	3.4	3.0	3.1	3.9	0.1
Disbursements	4.3	5.6	6.1	6.1	5.7	5.8	5.8	3.6
Project loans	1.2	1.6	1.7	1.7	2.0	2.0	2.0	1.8
Program loans	0.1	0.1	0.1	0.1	0.0	0.0	0.0	0.0
Commercial borrowing ²	2.1	2.5	3.5	3.5	3.2	3.2	3.2	1.1
Standard Gauge Railway	1.0	1.5	0.8	0.8	0.5	0.5	0.5	0.7
Phase 1	1.0	1.5	0.7	0.7	0.0	0.0	0.0	0.0
Phase 2	0.0	0.0	0.1	0.1	0.5	0.5	0.5	0.7
Repayments due	-1.7	-0.5	-1.8	-2.7	-2.7	-2.7	-1.9	-3.5
Net domestic financing	4.3	4.1	3.3	4.1	3.0	3.0	1.8	3.4
<i>Memorandum items:</i>								
Primary balance incl. grants (Central government)	-3.8	-5.6	-3.9	-3.8	-1.7	-1.8	-1.4	0.1
Total gross public debt, gross	52.5	58.3	...	60.7	...	...	60.2	57.7
of which: external debt ³	26.1	30.4	...	31.2	...	...	32.5	30.6
of which: domestic debt	26.4	28.0	...	29.5	...	...	27.8	27.1
Total gross public debt, PV	48.8	53.0	...	58.0	...	...	60.2	58.4
Total net public debt ⁴	n.a.	52.6	...	55.5	...	...	56.1	55.8

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ Fiscal year runs from July to June.² Includes proceeds from (i) syndicated loans and (ii) planned sovereign bonds.³ External debt excludes guarantees.⁴ Total net debt in 2013/14 includes proceeds from US\$2.0bn Eurobond.

Table 3. Kenya: Monetary Survey, December 2015 – December 2018

	Dec-15	Dec-16	Mar-17	Jun-17	Sep-17	Dec-17	Mar-18	Jun-18	Sep-18	Dec-18
	Act.	Act.	Act.	Act.	Act.	Act.	Proj.	Proj.	Proj.	Proj.
(In billions of Kenyan shillings, unless otherwise indicated)										
Central Bank of Kenya (CBK)										
Net foreign assets	621	622	698	738	695	627	803	759	724	687
(in millions of US dollars) ¹²	6,073	6,065	6,775	7,119	6,728	6,075	7,674	8,177	7,723	7,330
Net domestic assets	-229	-210	-283	-339	-270	-188	-385	-319	-252	-224
Net domestic credit	-65	-67	-132	-152	-101	-35	-220	-165	-86	-54
Government (net)	-44	-114	-117	-179	-168	-67	-257	-144	-144	-144
Commercial banks (net)	-22	43	-18	24	63	28	33	-24	55	87
Other items (net)	-164	-143	-151	-187	-169	-153	-165	-153	-165	-169
Reserve money	392	411	415	400	425	439	418	441	473	463
Currency outside banks	191	209	201	207	209	225	214	181	194	190
Bank reserves	201	202	214	193	216	214	204	260	279	273
Banks										
Net foreign assets	-130	-126	-95	-94	-79	-92	-104	-105	-109	-113
(in millions of US dollars)	-1,270	-1,234	-921	-908	-766	-892	-995	-1,020	-1,045	-1,070
Reserves	201	202	214	193	216	214	204	260	279	273
Credit to CBK	22	-43	18	-24	-63	-28	-33	24	-55	-87
Net domestic assets	2,353	2,497	2,482	2,619	2,673	2,688	2,717	2,709	2,982	2,959
Net domestic credit	2,834	3,084	3,066	3,178	3,234	3,262	3,300	3,294	3,565	3,542
Government (net)	569	707	701	825	842	824	882	826	875	940
Other public sector	82	105	106	107	114	111	113	113	113	113
Private sector	2,183	2,272	2,260	2,246	2,278	2,327	2,305	2,354	2,577	2,489
Other items (net)	-481	-587	-584	-559	-561	-574	-583	-585	-583	-583
Total deposits	2,446	2,529	2,620	2,694	2,746	2,781	2,783	2,888	3,097	3,033
Monetary survey										
Net foreign assets	491	495	603	644	616	535	699	654	615	574
(in millions of US dollars)	4,804	4,832	5,854	6,211	5,962	5,183	6,679	6,339	5,872	5,457
Net domestic assets	2,175	2,269	2,244	2,292	2,375	2,493	2,316	2,475	2,740	2,712
Net domestic credit	2,794	2,973	2,953	3,002	3,070	3,198	3,046	3,195	3,470	3,445
Government (net)	525	593	583	646	674	757	625	546	616	708
Other public sector	82	105	106	107	114	111	113	113	113	113
Private	2,186	2,276	2,263	2,249	2,282	2,330	2,309	2,536	2,741	2,624
Other items (net)	-619	-704	-709	-710	-695	-705	-730	-720	-729	-732
M1	1,023	1,310	1,317	1,391	1,383	1,397	1,373	1,436	1,467	1,492
Money and quasi-money (M2)	2,253	2,360	2,412	2,481	2,515	2,538	2,547	2,665	2,721	2,769
M2 plus resident foreign currency deposits (M3)	2,667	2,765	2,847	2,936	2,990	3,028	3,016	3,129	3,355	3,286
M3 plus nonbank holdings of government debt (L)	3,399	3,709	3,817	3,935	4,016	4,101	4,139	4,295	4,605	4,511
Memorandum items										
<i>(growth in percent yoy, excluding multipliers and velocity)</i>										
M2	12.8	4.8	5.7	5.4	7.5	7.5	5.6	7.4	8.2	9.1
M3	14.1	3.7	6.4	6.0	7.8	9.5	5.9	6.6	12.2	8.5
Deposits	14.5	3.4	6.1	5.4	7.5	10.0	6.2	7.2	12.8	9.1
Reserve money	3.4	4.8	3.2	2.4	8.1	6.7	0.8	10.3	11.3	5.5
Net domestic credit	20.8	6.4	4.6	5.2	7.4	7.6	3.2	6.4	13.0	7.7
Government (net)	38.4	12.9	7.1	15.3	28.4	27.7	7.1	-15.5	-8.7	-6.5
Private	16.0	4.1	3.0	1.5	1.7	2.4	2.0	12.8	20.1	12.6
Net domestic assets of the banking sector	17.2	4.3	1.8	3.9	8.9	9.9	3.2	8.0	15.4	8.8
NDA growth (as percent of the base period M3)	10.8	2.8	1.2	2.4	5.3	6.0	1.9	4.6	9.1	5.3
Multiplier (Average M2/RM)	5.8	5.8	5.9	5.9	5.9	5.9	6.0	6.0	5.9	6.0
Multiplier (Average M3/RM)	6.9	6.9	6.9	7.0	7.0	7.0	7.1	7.1	7.1	7.1
Velocity (GDP/M2)	2.9	3.1	3.1	3.2	3.1	3.1	3.1	3.1	3.1	3.1
Velocity (GDP/M3)	2.5	2.6	2.7	2.7	2.7	2.6	2.7	2.7	2.5	2.6
Nominal GDP	16.3	14.5	15.7	12.2	9.1	7.7	7.8	9.9	10.5	11.4

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ For historical data, at implicit CBK exchange rate.² Starting in June 2014, it includes government deposits abroad on account of the Eurobond issuance, as an asset and as a liability.

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Table 4a. Kenya: Balance of Payments, 2015–21
(Millions of U.S. dollars, unless otherwise indicated)

	2015	2016	2017	2018	2019	2020	2021
	Act.	Prel.	Est.		Proj.		
Current account	-4,299	-3,653	-5,124	-5,541	-5,696	-5,905	-6,639
Trade balance	-8,395	-7,890	-9,612	-10,529	-10,959	-11,771	-12,854
Goods: exports, f.o.b.	5,997	5,747	6,615	7,726	8,720	9,736	10,754
Coffee	212	213	214	242	298	355	388
Tea	1,247	1,226	1,639	1,847	2,073	2,294	2,508
Horticulture	760	910	1,009	1,183	1,311	1,447	1,582
Other	3,778	3,398	3,752	4,454	5,038	5,639	6,275
Goods: imports, f.o.b.	14,392	13,637	16,227	18,256	19,678	21,507	23,608
Oil products	2,500	2,087	2,699	3,487	3,516	3,633	3,859
Other	11,892	11,550	13,528	14,768	16,162	17,873	19,749
Capital imports	5,432	4,365	4,754	5,163	5,709	6,379	7,106
Services balance	1,321	1,691	2,045	2,626	2,834	3,054	3,186
Services, credit	4,649	4,528	5,160	5,989	6,498	7,075	7,682
Transportation	1,956	1,786	2,214	2,734	3,061	3,386	3,706
Travel	726	824	978	1,163	1,231	1,339	1,457
Services, debit	3,329	2,837	3,115	3,363	3,663	4,021	4,496
Transportation	1,434	947	1,127	1,268	1,435	1,646	1,898
Goods and services balance	-7,075	-6,199	-7,567	-7,903	-8,124	-8,718	-9,668
Primary income, balance	-686	-684	-896	-1,187	-1,362	-1,257	-1,338
Credit	493	433	480	445	641	823	772
Debit	1,179	1,117	1,376	1,632	2,003	2,080	2,111
Secondary income, balance	3,461	3,230	3,339	3,549	3,790	4,069	4,367
Credit	3,525	3,281	3,389	3,602	3,846	4,129	4,430
Remittances	1,573	1,745	1,875	2,020	2,177	2,342	2,518
Debit	63	51	50	53	56	60	63
Capital account	263	206	259	570	400	458	458
Financial account	-3,918	-4,250	-4,589	-5,982	-6,645	-6,559	-7,091
Foreign direct investment	-379	-348	-426	-576	-621	-671	-721
Direct investment, assets	243	158	156	101	109	139	135
Direct investment, liabilities	621	505	581	677	731	811	856
Portfolio investment	155	383	-445	-2,596	-176	-263	-237
Portfolio investment, assets	191	423	444	487	522	558	602
Portfolio investment, liabilities	36	40	889	3,083	698	820	840
Equity and investment fund shares	11	23	123	328	541	562	583
Debt securities	25	17	765	2,755	157	259	257
Financial derivatives	0	0	0	0	0	0	0
Other investment	-3,695	-4,285	-3,718	-2,810	-5,847	-5,625	-6,133
Other investment, assets	502	-193	101	137	15	85	79
Other investment, liabilities	4,197	4,093	3,820	2,947	5,863	5,710	6,212
Net errors and omissions	-242	-764	0	0	0	0	0
Overall balance	-360	39	-277	1,011	1,349	1,112	910
Reserves and related items	-296	106	-277	1,011	1,349	1,112	910
Reserve assets (gross)	-361	38	-396	867	1,194	976	783
Use of Fund credit and loans to the Fund (net)	-66	-67	-119	-144	-155	-136	-127
Disbursements	0	0	0	0	0	0	0
Repayments	66	67	119	144	155	136	127
Memorandum items:							
Gross official reserves (end of period)	7,534	7,546	7,150	8,017	9,211	10,188	10,970
(in months of next year's imports)	5.5	4.7	4.0	4.1	4.3	4.4	4.3
(in months of 3-year-rolling average imports) 1/	4.8	5.0	4.8	5.0	5.2	5.2	5.1
(in percent of M3)	28.3	27.3	23.6	24.4	21.9	20.2	18.3
WEO oil price (APSP; US\$)	50.8	42.8	52.8	65.2	61.3	58.5	57.0
Terms of trade 2/	3.2	-1.8	-2.9	-6.9	1.5	1.1	0.4

Sources: Kenyan authorities and IMF staff estimates and projections.

1/ CBK definition of reserve cover: in months of imports of goods and services over the previous 36 months (annualized rolling average).

2/ Percentage change, goods and services.

Table 4b. Kenya: Balance of Payments, 2015–21
(Percent of GDP)

	2015 Act.	2016 Prel.	2017 Est.	2018 Proj.	2019 Proj.	2020 Proj.	2021 Proj.
Current account	-6.7	-5.2	-6.8	-6.6	-6.3	-6.1	-6.3
Trade balance	-13.1	-11.1	-12.8	-12.6	-12.1	-12.1	-12.1
Goods: exports, f.o.b.	9.4	8.1	8.8	9.3	9.7	10.0	10.2
Coffee	0.3	0.3	0.3	0.3	0.3	0.4	0.4
Tea	1.9	1.7	2.2	2.2	2.3	2.4	2.4
Horticulture	1.2	1.3	1.3	1.4	1.5	1.5	1.5
Other	5.9	4.8	5.0	5.3	5.6	5.8	5.9
Goods: imports, f.o.b.	22.5	19.2	21.6	21.9	21.8	22.1	22.3
Oil products	3.9	2.9	3.6	4.2	3.9	3.7	3.6
Other	18.6	16.3	18.0	17.7	17.9	18.4	18.7
Capital imports	8.5	6.2	6.3	6.2	6.3	6.5	6.7
Services balance	2.1	2.4	2.7	3.2	3.1	3.1	3.0
Services, credit	7.3	6.4	6.9	7.2	7.2	7.3	7.3
Transportation	3.1	2.5	2.9	3.3	3.4	3.5	3.5
Travel	1.1	1.2	1.3	1.4	1.4	1.4	1.4
Services, debit	5.2	4.0	4.2	4.0	4.1	4.1	4.2
Transportation	2.2	1.3	1.5	1.5	1.6	1.7	1.8
Goods and services balance	-11.1	-8.7	-10.1	-9.5	-9.0	-9.0	-9.1
Primary income, balance	-1.1	-1.0	-1.2	-1.4	-1.5	-1.3	-1.3
Credit	0.8	0.6	0.6	0.5	0.7	0.8	0.7
Debit	1.8	1.6	1.8	2.0	2.2	2.1	2.0
Secondary income, balance	5.4	4.6	4.4	4.3	4.2	4.2	4.1
Credit	5.5	4.6	4.5	4.3	4.3	4.2	4.2
Remittances	2.5	2.5	2.5	2.4	2.4	2.4	2.4
Debit	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Capital account	0.4	0.3	0.3	0.7	0.4	0.5	0.4
Financial account	-6.1	-6.0	-6.1	-7.2	-7.4	-6.7	-6.7
Foreign direct investment	-0.6	-0.5	-0.6	-0.7	-0.7	-0.7	-0.7
Direct investment, assets	0.4	0.2	0.2	0.1	0.1	0.1	0.1
Direct investment, liabilities	1.0	0.7	0.8	0.8	0.8	0.8	0.8
Portfolio investment	0.2	0.5	-0.6	-3.1	-0.2	-0.3	-0.2
Portfolio investment, assets	0.3	0.6	0.6	0.6	0.6	0.6	0.6
Portfolio investment, liabilities	0.1	0.1	1.2	3.7	0.8	0.8	0.8
Equity and investment fund shares	0.0	0.0	0.2	0.4	0.6	0.6	0.6
Debt securities	0.0	0.0	1.0	3.3	0.2	0.3	0.2
Financial derivatives	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other investment	-5.8	-6.0	-5.0	-3.4	-6.5	-5.8	-5.8
Other investment, assets	0.8	-0.3	0.1	0.2	0.0	0.1	0.1
Other investment, liabilities	6.6	5.8	5.1	3.5	6.5	5.9	5.9
Net errors and omissions	-0.4	-1.1	0.0	0.0	0.0	0.0	0.0
Overall balance	-0.6	0.1	-0.4	1.2	1.5	1.1	0.9
Reserves and related items	-0.5	0.1	-0.4	1.2	1.5	1.1	0.9
Reserve assets (gross)	-0.6	0.1	-0.5	1.0	1.3	1.0	0.7
Use of Fund credit and loans to the Fund (net)	-0.1	-0.1	-0.2	-0.2	-0.2	-0.1	-0.1
Disbursements	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Repayments	0.1	0.1	0.2	0.2	0.2	0.1	0.1
Memorandum items:							
Gross official reserves (end of period)	11.8	10.6	9.5	9.6	10.2	10.5	10.4
Exports of goods and nonfactor services	16.6	14.5	15.7	16.5	16.9	17.3	17.4
Imports of goods and nonfactor services	27.7	23.2	25.8	25.9	25.9	26.2	26.5

Sources: Kenyan authorities and IMF staff estimates and projections.

Table 5. Kenya: Financial Soundness Indicators of the Banking Sector

	Dec-10	Dec-11	Dec-12	Dec-13	Dec-14	Dec-15	Dec-16	Mar-17	Jun-17	Sep-17	Dec-17
	(Percent)										
Capital adequacy											
Regulatory capital to risk-weighted assets	20.8	19.4	21.9	23.2	19.2	18.8	18.7	19.4	19.6	18.8	18.5
Regulatory tier 1 capital to risk-weighted assets	18.7	17.3	18.9	19.4	15.9	15.7	16.3	16.6	16.8	16.2	16.0
Total capital to total assets	13.2	13.2	14.2	14.9	15.6	15.5	14.5	16.0	15.5	15.3	15.3
Asset quality											
Non-performing loans to total gross loans ¹	6.2	4.4	4.5	5.0	5.4	6.8	9.1	9.6	9.9	10.4	10.6
Bank provisions to NPLs	75.3	82.2	80.9	70.7	65.0	57.8	54.8	53.8	60.2	54.5	53.2
Non-performing loans net of provisions to capital	6.4	3.5	3.5	5.8	7.4	11.0	17.6	17.0	15.2	18.4	19.5
Earning assets to total assets	88.8	87.8	87.4	88.9	88.2	89.0	90.3	90.2	91.6	90.6	90.8
Earning and profitability											
Return on assets (ROA)	3.7	3.3	3.8	3.6	3.4	2.9	3.1	2.9	2.8	2.6	2.7
Return on equity (ROE)	30.7	32.2	34.2	28.9	26.5	23.8	24.8	22.2	22.3	20.6	20.8
Interest margin to gross income	34.7	38.6	32.7	37.2	36.0	34.0	33.8	30.0	29.2	29.1	29.1
Non-interest expenses to gross income	48.2	44.6	37.8	41.7	40.9	41.3	42.8	43.1	43.9	44.9	45.2
Liquidity											
Liquid assets to total assets	38.4	33.3	35.2	34.3	32.7	27.8	33.1	33.7	35.4	35.9	34.6
Liquid assets to short-term liabilities	44.5	37.0	41.9	38.6	37.7	38.1	41.4	43.8	44.7	45.4	43.7
Liquid assets to total deposits	51.0	43.8	46.8	47.0	45.2	38.5	46.6	46.9	48.6	49.6	47.4
Total loans to total deposits	72.5	77.4	76.9	80.4	83.7	81.9	87.3	86.0	82.7	81.1	82.9
Sensitivity to market risk											
Net open position in foreign exchange to capital	4.3	3.3	2.6	2.2	4.3	3.5	4.0	3.2	3.8	3.7	4.5
Interest bearing assets to interest bearing liabilities	117.8	115.4	116.2	121.6	122.1	123.2	127.3	125.6	125.8	125.2	124.4
FX currency denominated assets to total assets	10.6	11.8	13.2	13.7	15.4	16.7	16.4	15.4	16.1	15.8	16.8
FX currency denominated liabilities to total liabilities	17.1	21.5	20.9	22.9	22.6	24.3	22.3	22.5	23.2	22.7	23.5
Spread between lending and deposit rate	9.3	8.4	10.3	8.9	8.0	7.3	7.7	6.2	6.4	6.2	6.4

Source: Central Bank of Kenya.

¹ The data for Chase Bank in receivership and Charterhouse Bank under statutory management have been excluded from May 2016 onward.

Annex I. Implementation of Past Fund Advice

The 2014 Article IV consultation made the following recommendations.

- **Maintain a strong foreign exchange reserves position with a flexible exchange rate to cushion the impact of potential shocks.** Gross reserves have risen from US\$6.6 billion at end-2015Q3 to US\$9.3 billion or 4.8 months of imports as of end-March 2018. Reflecting limited movement of the shilling relative to the US\$, MCM's 2018 report on exchange rate arrangement to be published in February 2018 will reclassify Kenya's shilling from "floating" to "other managed arrangement."
- **Maintain a prudent fiscal stance consistent with Kenya's medium-term debt target while pursuing a shift in the composition of expenditure towards development priorities.** This included controlling the wage bill, improving the quality and efficiency of public spending, and mobilizing tax revenue. The government has increased the share of spending allocated to public investment (albeit less than originally targeted), has announced a revision of the salary scales for public servants in line with recommendations from the Salary and Remunerations Commission, and is taking steps to improve tax administration.
- **Effectively implement devolution to promote inclusive growth and improve social conditions, and mitigate the associated fiscal risks.** Disadvantaged counties have experience a significant increase in government spending and service delivery. The 2015 amendments to PFM regulations established limits on both the stock of gross debt and debt service for counties (up to 20 percent and 15 percent of each county's last audited revenues, respectively), require annual publication of county financial accounts, and specify financial and criminal penalties for violation of the PFM regulations.
- **Improve cash management: the development of a Treasury Single Account.** Improvements in cash management will allow for the introduction of a centralized payment unit in July 2018, while the capabilities of the Integrated Financial Management and Information System (IFMIS) will be more effectively exploited.
- **Put in place effective management of newly-discovered oil and gas.** The government is working with the World Bank and FAD in implementing the framework for natural resource management and rolling out capacity building in the context of the Kenya Petroleum Technical Assistance Project.
- **Enhance bank supervision.** Recent steps include: (i) stricter enforcement of transparency guidelines requiring banks to disclose their main shareholders and the volume of lending to insiders (directors, board members and employees); (ii) enhanced monitoring of capital adequacy levels through the initiation of the internal capital adequacy assessment process (ICAAP); (iii) hiring of additional staff in the area of compliance to support supervisory capacity; and (iv) stricter enforcement of regulations regarding the classification of non-performing loans. However, some small banks have been in non-compliance with prudential ratios for an extended period of time, and progress in resolving three banks intervened in recent years has been slow.

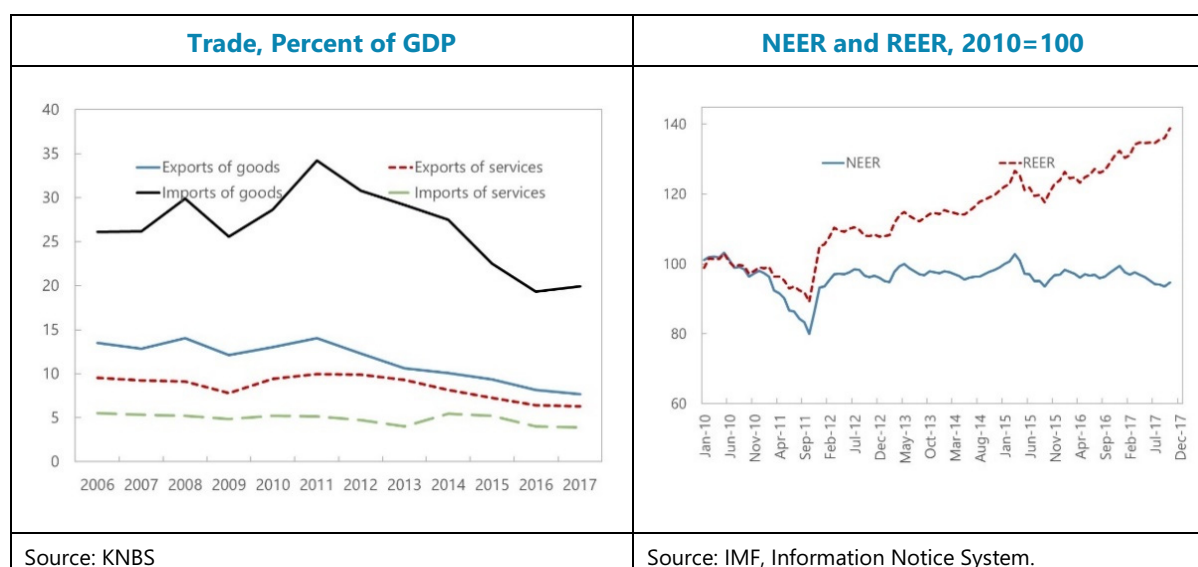
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- **Accelerate regional integration.** Kenya has continued making progress in implementing EAC agreements, with compliance reaching 90 percent on recognition of certificates of origin (second to Burundi), an important non-tariff barrier expected to be removed in the transition to a common market (well above Rwanda, Tanzania, and Uganda).
- **Improve data quality.** The Balance of Payments has been upgraded in line with the BPM6. The work on the Foreign Investment Survey will start in May 2018, and is expected to be completed by October 2018. The first estimate of the International Investment Position can be started after that, and is expected to be finalized by end-2018. Both the FIS and the IIP will cover 2016 and 2017.

Annex II. Kenya: External Stability Assessment

A. Recent External Developments

1. The narrowing in the current account deficit has been driven by lower imports, while the REER has continued to appreciate. Goods imports have declined from 33.5 percent of GDP in 2011 to 21.6 percent of GDP in 2017, more than offsetting the decline in exports. Despite relative stability in the nominal effective exchange rate, the real effective exchange rate has continued to appreciate, rising by 5.7 percent in 2017 compared to 2016.



B. Exchange Rate Assessment

2. The EBA-lite methodology for the exchange rate suggests that the external position is weaker than fundamentals. The current account approach shows that the current account deficit (both actual and cyclically adjusted) are above the norm (the CA gap is -2.5 percent), suggesting an overvaluation of about 17.5 percent of the real exchange rate. This can only marginally be explained by the policy gap. The REER approach also shows a similar-size of overvaluation, equivalent to about 18.0 percent. Again, the policy gap is marginal. Given the continued appreciation of the real exchange rate, the external position is assessed to be weaker than fundamentals. Regarding the last approach, the external sustainability approach, it was not possible to use it as the international investment position data is not yet produced by the authorities.

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Current account approach	Percent of GDP	REER approach	
CA – Actual	-6.8%	ln(REER) – Actual	4.88
CA – Cyclically Adjusted	-7.1%		
CA – Norm	-4.3%	ln(REER) – Norm	4.70
CA – Fitted	-4.9%	ln(REER) – Fitted	4.69
Policy Gap	-0.5%	Policy Gap	-0.01
Residual	-1.8%	Residual	0.18
(Actual – Fitted)		(Actual – Fitted)	
CA Gap	-2.5%		
REER Gap	17.5%	REER Gap	18.0%

C. Reserve Adequacy

3. International reserves are above the level suggested by the Fund’s approach for assessing reserve adequacy in credit-constrained economies. The optimum level of reserves for Kenya is calculated by measuring the benefit of holding reserves less the cost of holding reserves. The benefits are the lower probability of a crisis and the reduction in the severity of a crisis, while the cost is measured on the basis of Kenya’s external funding costs. The model suggests that the optimal level of reserves for Kenya is 3.5 months of imports, while current holdings (as of March 2018) are 4.8 months of imports. Reserve coverage is projected to stabilize at about 4.4 months of imports over the medium term, which is appropriate for Kenya in light of the heightened uncertainty in the global economy and the risk of capital flow volatility.

D. Competitiveness Measures

4. Kenya has performed well compared to peers and over time in improving conditions for competitiveness. Kenya has continued to implement reforms which have improved their ranking in the World Bank Doing Business Indicators. In 2018, Kenya’s rank moved up an impressive 12 places to 80. It is worth highlighting that Kenya’s ranking in getting credit is a key strength, although the introduction of interest rate controls restrains access to credit, particularly for SMEs, and there is room for improvement in other areas. Kenya has also continued to move up the WEF competitiveness rankings, moving to 91/137 in 2017–18, compared with 106/144 in 2011–13.¹

¹ In line with the Use of Third-Party Indicators in Fund Reports from 2017, we present scores for several indicators in a cross-country context. The World Bank’s Doing Business indicators are partly, and the World Economic Forum’s Global Competitiveness Index is entirely based on survey data. The World Bank started to publish the Doing Business indicators in 2003, they publish them every year, and today they cover 190 countries. The Global Competitiveness Report has been published annually since 2004, and provides information on 137 economies currently.

Competitiveness Indicators	
Distance to the frontier (DTF) in Kenya and EAC, between 0 and 100	2018 distance to the frontier (DTF) by subcategories in Kenya and Sub-Saharan Africa, between 0 and 100
Source: World Bank Doing Business 2018. Note: The chart shows 100-DTF; the smaller the value, the closer the country is to the frontier.	Source: World Bank Doing Business 2018. Note: The chart shows 100-DTF; the smaller the value, the closer the country is to the frontier.
Global Competitiveness Index in Kenya and EAC, between 1 and 7	2017–18 Global Competitiveness Index by subcategories in Kenya and Sub-Saharan Africa, between 1 and 7
Source: World Economic Forum Global Competitiveness Report 2017–18. Note: measured on a 1–7 scale, with 7 being the most desirable outcome.	Source: World Economic Forum Global Competitiveness Report 2017–18. Note: measured on a 1–7 scale, with 7 being the most desirable outcome.

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Annex III. Risk Assessment Matrix*

Source of Risks	Likelihood /Time Horizon	Expected Impact on Economy	Policy Response
Potential Domestic Shocks			
Delay in removal of interest rate controls.	Medium Short to Medium Term	High. This could have adverse effects on financial stability and access to credit, especially for high-risk borrowers. This would dampen growth and reduce financial inclusion. It would also delay the modernization of the monetary policy framework.	* Strengthen bank supervision to maintain financial sector stability; * Continue prudent monetary and fiscal policies and structural reforms to maintain growth
A return of drought.	Medium Short Term	High. This would lead to slower growth, an increase in food inflation, pressures on public spending and the current account, and adversely affect vulnerable households.	* Guard against second-round effects on inflation; * Use targeted programs to vulnerable groups and reprioritize spending;
Political risks.	Medium Short to Medium Term	Medium. Continued dispute of election results by the opposition could lead to a prolonged period of uncertainty, delayed implementation of reforms, and pressure on government spending.	* Remain committed to fiscal targets and reforms under the program.
Deterioration in security situation.	Medium Short to Medium Term	High. This would adversely affect the tourism sector, foreign direct investment and portfolio inflows. Consequently, it could adversely affect the growth.	* Reprioritize fiscal spending to accommodate security needs; and * Maintain policies to improve macro fundamentals (e.g., structural and governance reforms). * Strengthen AML/CFT framework to help curtail financing of terrorism.
Potential External Shocks			
Retreat from cross-border integration.	Medium Short to Medium Term	Medium. This would adversely impact (i) the current account of the balance of payments by reducing tourism and exports; and (ii) the financial account of the balance of payments by reducing foreign direct investment and portfolio inflows.	* Maintain exchange rate flexibility; * Accelerate reforms to address structural weakness affecting competitiveness.
Policy and geopolitical uncertainties: Policy uncertainty. Two-sided risks to US growth; uncertainty associated with negotiating post-Brexit arrangements and NAFTA; and evolving political processes, including elections in several large economies	Medium Short to Medium Term High Short to medium Term	Medium. This would adversely impact (i) the current account of the balance of payments by reducing tourism and exports; and (ii) the financial account of the balance of payments by reducing foreign direct investment and portfolio inflows.	* Maintain exchange rate flexibility; * Accelerate reforms to address structural weakness affecting competitiveness.

Source of Risks	Likelihood /Time Horizon	Expected Impact on Economy	Policy Response
Intensification of the risks of fragmentation/ security dislocation in part of the Middle East, Africa, and Europe.			
Financial conditions: - Tighter global financial conditions. - Further pressure on traditional bank business models.	High Short to Medium Term Medium Medium Term	Medium. This would adversely impact (i) the financial account of the balance of payments, by reducing capital inflows; (ii) the banking sector and credit growth by reducing funding for the banking sector; (iii) the corporate sector by reducing foreign direct investment; and (iv) fiscal external financing by raising terms of Eurobond issuances.	* Maintain exchange rate flexibility; * Address bottlenecks in the banking sector and further strengthen financial sector supervision. * Maintain policies to improve macroeconomic fundamentals and regulatory environment that are conducive to growth in small- and medium-sized businesses.
Weaker-than-expected global growth: - Structurally weak growth in key advanced economies. - Significant U.S. slowdown and its spillovers. - Significant China slowdown and its spillovers.	High Medium Term Medium Medium Term Low/ Medium Short to Medium Term	Medium. This would adversely impact (i) the current account of the balance of payments by reducing tourism and exports; and (ii) the financial account of the balance of payments by reducing foreign direct investment and portfolio inflows.	* Maintain exchange rate flexibility; * Accelerate reforms to address structural weakness affecting competitiveness.
Lower energy prices.	Low Short to Medium Term	Low. Lower energy prices would be a positive shock for Kenya in the near term, but a lack of investment in the oil sector could adversely affect medium-term growth.	* Maintain exchange rate flexibility;
Cyber-attacks	Medium Short to Medium Term	Medium. Such attacks can trigger financial instability or widely disrupt socio-economic activities.	* Continue reforms to strengthen cyber security capabilities at both government and private sector level.
* The Risk Assessment Matrix (RAM) shows events that could materially alter the baseline path (the scenario most likely to materialize in the view of IMF staff). The relative likelihood is the staff's subjective assessment of the risks surrounding the baseline ("low" is meant to indicate a probability below 10 percent, "medium" a probability between 10 and 30 percent, and "high" a probability between 30 and 50 percent). The RAM reflects staff views on the source of risks and overall level of concern as of the time of discussions with the authorities. Non-mutually exclusive risks may interact and materialize jointly. "Short term" and "medium term" are meant to indicate that the risk could materialize within 1 year and 3 years, respectively.			

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Annex IV. Capacity Development Strategy for FY 2019

The authorities are engaged in an SBA with the Fund. They see IMF TA as a way to support the economic and financial policies under the program. As such, capacity development program for Kenya, including related technical assistance delivery, is a key component of program and surveillance priorities.

Overall Assessment of Capacity Development

1. As a lower-middle-income country, Kenya faces some capacity development needs.

These are being addressed in part through tailored technical assistance. Key areas of focus are public financial management; revenue administration; upgrading the bank and non-bank supervisory frameworks; and improving government finance and national accounts statistics.

2. Program engagement has contributed in the past to building capacity in Kenya, although the lengthy delay in program reviews following the completion of the first review under the SBA/SCF in January 2017¹ may have somewhat reduced the effectiveness of program engagement for TA absorption. Key achievements include:

- Development of plans to strengthen the National Treasury's public investment project database and the related improvement of budgeting, accounting, and reporting;
- Expanded coverage of the Treasury Single Account (TSA) and training on cash management processes;
- Improved integrity of the Kenya Revenue Administration's (KRA's) taxpayer registration database and the development of a medium-term revenue administration strategy;
- The development of training programs for the Central Bank of Kenya on risk-based supervision and ICAAP reviews.

TA implementation has been at times challenged by recipient capacity constraints.

Forward-Looking Priorities

3. The TA strategy for Kenya should focus on medium-term budgeting, public financial management, revenue administration, financial supervision and regulation, strengthening macroeconomic and government finance statistics, and improving the AML/CFT framework.

In particular,

- Strengthening the authorities' approach to medium-term budgeting by revising the process by developing realistic budget baselines and setting credible expenditure ceilings.
- Further improving public financial management, particularly with regard to public investment management, TSA coverage, and financial reporting.

¹ The SCF expired in March 2018. The SBA was extended in March 2018 for 6 months.

- Assisting the authorities with strengthening and implementing risk-based supervision.
- Expanding government financial statistics coverage to the general government and public corporations.

4. For FY 2019, key priorities and objectives include:

Priorities	Objectives
Public Financial Management	Support IPSAS implementation to improve annual financial reporting
Revenue Administration	Complete revenue administration gap assessment
Regulatory and Prudential Framework	Implement risk-based supervision for insurance companies
Financial Stability	Strengthen the macroprudential policy framework
AML/CFT	Continue the implementation of AML/CFT reforms

Risks to capacity development include capacity constraints from rate rates of turnover and restraints on staffing levels. These risks could be mitigated adapting the TA provided to the relevant capacity context and planning for follow-up missions as needed.

Authorities' Views

5. The authorities agree with the path of the capacity development strategy for Kenya.

They consider the strategy and objectives as appropriate to Kenya's capacity development needs, absorption capacity, and in the context of their broader macroeconomic program.

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Appendix I. Draft Letter of Intent

Nairobi, Kenya
May 25, 2018

Ms. Christine Lagarde
Managing Director
International Monetary Fund
700 19th St, NW
Washington, DC 20431

Dear Ms. Lagarde,

1. Economic conditions in Kenya have continued to improve since the 6-month extension of our precautionary Stand-By Arrangement (SBA) on March 12, 2018. In particular, GDP growth accelerated to 5.0 percent in the fourth quarter of 2017, from 4.7 percent in the first nine months of the year, and confidence indicators point to a continued strong momentum in 2018. This reflects a recovery from the effects of the protracted presidential election process and improving weather conditions. In addition, inflation remains low (3.7 percent in April), the exchange rate has been stable, and gross international reserves reached an all-time high of US\$9.1 billion at end-April (equivalent to 6.11 months of imports).

2. The economy grew by 4.9 per cent in 2017 supported by activities in the non-agricultural sector—mainly the services sub-sector—that offset the lower performance in the agricultural sector. The growth reflected increased performance in the information and communication, tourism, wholesale and retail, and transport and storage sectors. The impact of the extensive drought, coupled with the election-related expenditures, contributed to missing (i) the performance criteria on the primary fiscal balance for end-December 2016 and end-June 2017, and (ii) the monetary policy consultation clause for June 2017 (Table 1). The introduction of interest rate controls in September 2016, which were aimed at addressing the high cost of credit, has had somewhat unintended adverse consequences on credit growth and monetary policy effectiveness. In addition, there have been some delays in implementing some of the structural benchmarks under the program (Table 2). To bring the program back on track, we are taking steps to help achieve our program objectives, especially to maintain public debt sustainability, avoid the adverse impact of interest rate controls, and continue reforms to strengthen public financial management and modernize the monetary policy framework.

- On fiscal policy, we have introduced specific revenue administration measures that have helped improve revenue collection in the second half of 2017/18. In addition, since revenues remain below target, we issued in May 2018 a circular on expenditure controls to limit spending for the remainder of 2017/18, especially for lower-priority domestically-

financed investment projects, with a view to contain the overall deficit to KSh623 billion. We are also monitoring commitments by spending units to ensure no increase in spending arrears (pending bills of 90 days or more). Consistent with the commitment in our letter of intent of March 6, we have submitted to Parliament the budget estimates for 2018/19 that targets a deficit of 5.7 percent of GDP, and will submit the supporting Finance Bill, 2018 to Parliament that will contain revenue raising measures, including removal of some tax exemptions and further improvements in tax administration. In addition, we shall present to Parliament, a modern new Income Tax Bill that overhauls the existing Income Tax Act.

- On interest rate controls, we plan to submit together with the Finance Bill 2018, a proposal that aims to refocus the controls on consumer protection and avoid their adverse impact on the economy, especially ensuring that they no longer block lending and access to finance, or hinder the conduct of monetary policy.
- On structural reforms, we are taking steps to deepen financial sector reforms, improve the transparency and efficiency of public spending, and strengthen public debt management.

3. We propose a set of quantitative performance criteria, an Monetary Policy Consultation Clause, and indicative targets for end-June 2018 (Table 3), and resetting some of the structural benchmarks for end-August 2018 (Table 4). These will serve as a basis for completing delayed reviews under the precautionary SBA, together with a macroeconomic framework and conservative revenue projections for 2018/19 and over the medium term to be agreed with Fund staff, that reflect forward looking policies to be specified in a follow-up letter of intent at the time of the next SBA review. The follow-up letter of intent will be presented to the Executive Board before the expiration of the SBA program on September 14, 2018. We authorize the publication of this letter of intent, the attached technical memorandum of understanding, and the related staff report.

Sincerely yours,

/s/

Henry Rotich, EGH

Cabinet Secretary

The National Treasury and Planning

/s/

Patrick Njoroge

Governor

Central Bank of Kenya

Table 1. Kenya: Performance Against Quantitative Performance Criteria and Indicative Targets
(Billions of Kenyan shillings; unless otherwise indicated)

	Performance Criteria (PC)/Indicative targets (IT)											
	2016				2017							
	End-Dec (PC)				End-Mar (IT)				End-Jun (PC)			
	Prog.	Adj. Prog.	Act.	Met / Not Met	Prog.	Adj. Prog.	Prel.	Met / Not Met	Prog.	Adj. Prog.	Prel.	Met / Not Met
Quantitative performance criteria ¹												
Fiscal targets												
Primary budget balance of the national government (-=deficit, floor) ^{2,3}	-100.0	-111.2	-131.1	Not met	-169.5	-189.8	-219.0	Not met	-211.5	-240.6	-300.5	Not met
Monetary targets ^{4,5}												
Stock of central bank net international reserves (floor, in millions of US\$) ^{6,7}	6,283	5,633	6,599	Met	6,266	6,456	7,195	Met	7,230	7,384	7,512	Met
Public debt target												
National government external payment arrears (ceiling, millions of US\$) ⁸	0	0	0.0	Met	0	0	0	Met	0	0	0	Met
Contracting or guaranteeing of new non-concessional external debt (US\$ million)	...	...	...	...	...	...	...	...	...	...	...	...
Monetary policy consultation clause												
Upper band	7.5	7.5	...	...	7.5	7.5	...	...	7.5	7.5	...	...
Center inflation target ⁹	5.0	5.0	6.5	Met	5.0	5.0	10.3	Not met	5.0	5.0	10.8	Not met
Lower band	2.5	2.5	...	...	2.5	2.5	...	...	2.5	2.5	...	...
Indicative targets												
Stock of net domestic assets of the central bank (ceiling)	-165	-99	-279	Met	-193	-232	-355	Met	-289	-321	-391	Met
Priority social expenditures of the national government (floor) ³	10.5	...	...	...	30.0	30.0	...	...	57.4	57.4	...	...
Stock of all guarantees issued by the national government (ceiling) ³	50	...	...	...	50	50	...	...	50	50	...	...
Change in the stock of national government domestic bills pending for 90 days or more ³	...	...	...	...	0	0	...	...	0	0	...	...
Memorandum items:												
Maximum upward adjustment of the primary deficit ceiling owing to excess in concessional loans relative to program projections ¹	27.1	27.1	11.2	...	30.0	30.0	20.3	...	39.6	39.6	29.1	...
Programmed project loans ^{3,10}	56.8	56.8	57	...	85.7	85.7	85.7	...	96.0	96.0	96.0	...
Budgeted project loans ^{3,10}	83.9	83.9	68	...	115.7	115.7	106.0	...	135.6	135.6	125.1	...
Programmed external commercial debt (millions of US\$) ³	750	750	100	...	750	750	1,130	...	1,500	1,500	1,809	...
Program grants ³	2.7	2.7	...	...	3.5	3.5	...	...	6.1	6.1	...	...

¹ Performance criteria for end-December 2016 and end-June 2017, and indicative target for end-September 2016 and end-March 2017.

² The primary budget balance of the national government and related adjusters are defined, respectively, in paragraph 6 and paragraph 7 of the TMU. The adjusted target for end-June 2016 reflects the shortfalls in program grants (KSh 4.3 billion actual versus a programmed level of KSh 6.4 billion) and higher project loans relative to the program (respectively, KSh 99 billion and KSh 86.4 billion), as indicated in the memorandum items of this table.

³ All targets are cumulative flows from July 1, 2016, except for government pending bills that are cumulative from January 1, 2017.

⁴ For program monitoring, the daily average for the month when testing dates are due.

⁵ The adjusters to the NIR and NDA targets are specified, respectively, in paragraph 8 and paragraph 13 of the TMU.

⁶ Excludes encumbered reserves. Includes Kenya's reserve tranche position in the Fund starting from March 16, 2016.

⁷ Using exchange rates as at end-January 2016 (see TMU ¶9).

⁸ Continuous. Payment on an external obligation of US\$0.321 million was made with a delay of 11 days in August 2016. Kenya has since been current on all external payment obligations.

⁹ Compliance will be evaluated based on the 12-month inflation average of the latest three months.

¹⁰ Excludes the first phase of the Standard Gauge Railway (Mombasa to Nairobi).

Table 2. Kenya: Performance Against Structural Benchmarks

Complete a study on tax expenditures, in order to identify their size, type, evolution over time, and the category of taxation to which they apply (IMF Country Report No. 17/25, MEFP ¶12).	End-January 2017	Met
Adopt Cabinet guidelines on the selection, appraisal, and funding for major investments projects (IMF Country Report No. 17/25 MEFP ¶14).	End-March 2017	Not met. Review of recommendations from an AFRITAC East TA mission is on-going and a Task Force has been appointed to prepare the guidelines for approval.
Submit to parliament draft legislation to clarify powers by counties to set taxes/user fees, aimed at increasing revenue at the county level, while maintaining a business-friendly tax system (IMF Country Report No. 17/25, MEFP ¶12).	End-March 2017	Not met. Draft legislation (Bill) and Policy have been developed reflecting recommendations from an IMF FAD TA mission. The draft Policy and Bill have been presented to Council of Governors for their comments. Upon inclusion of the comments, the two policy documents will be submitted to Cabinet for Approval and subsequently to Parliament.
Automate the release of funds from the exchequer account, first through the current system of MDA accounts (IMF Country Report No. 17/25, MEFP ¶14)	End-March 2017	Not met. While MDAs are making payment requests electronically in the system, transfers from Exchequer Accounts to MDAs is still done manually. Legal issues remain regarding the validity of digital signatures.
Publish consolidated financial statements for the budgetary central government (i.e., the MDAs, their development projects, and the Consolidated Fund Accounts) (IMF Country Report No. 17/25, MEFP ¶14).	End-March 2017	Met
Set up an integrated Public Investment Management (PIM) system for tracking projects through the project cycle (IMF Country Report No. 17/25, MEFP ¶14)	End-June 2017	Met. A PIM unit has been set up, its head has been appointed and Officers transferred to the new Unit based on the various TA from the IMF East Afritac. It is currently under the Directorate of Budget, Fiscal and Economic Affairs.
Make operational a Centralized Payment System to ensure better control of public expenditure (IMF Country Report No. 17/25, MEFP ¶14).	End-June 2017	Not met. Payments still pass through MDAs which in turn make payments within 24 hours after receiving funds. Legal issues remain regarding interpretation of Consolidated Fund Services, Exchequer and The Treasury Single Account (TSA).
Improve capital adequacy assessment by issuing a Guidance Note on Internal Capital Adequacy Assessment Planning (ICAAP) to the banking sector, and ensure that all banks submit an ICAAP to the CBK (IMF Country Report No. 17/25, MEFP ¶20).	End-June 2017	Met

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Table 3. Proposed Quantitative Performance Criteria and Indicative Targets for June 2018
(in billions of Kenyan shillings; unless otherwise indicated)

	2017	2018
	End-Dec	End-Jun (PC)
	Act.	Proj.
Quantitative performance criteria ¹		
Fiscal targets		
Primary budget balance of the national government (-=deficit, floor) ^{2,3}	-54.4	-259.8
Monetary targets ^{4,5}		
Stock of central bank net international reserves (floor, US\$ million) ^{6,7}	5,789	7,710
Public debt target		
National government external payment arrears (ceiling, millions of US\$) ⁸	0	0
Contracting or guaranteeing of new public debt (ceiling, KES billion) ³	508	1,220
Monetary policy consultation clause		
Upper band	...	7.5
Center inflation target ⁹	5.0	5.0
Lower band	...	2.5
Indicative targets		
Stock of net domestic assets of the central bank (ceiling)	-153.1	-301
Priority social expenditures of the national government (floor) ³	64.7	81.5
Stock of all guarantees issued by the national government (ceiling) ³	...	...
Change in the stock of national government domestic bills pending for 90 days or more ³		
Memorandum items:		
Maximum upward adjustment of the primary deficit ceiling owing to excess in concessional loans relative to program projections ³	...	0.0
Programmed project loans ³	39.4	138.7
Budgeted project loans ³		138.7
Programmed external commercial debt (US\$ million) ³	106.8	2,881
Program grants ³	2.7	6.1

¹ Performance criteria for end-June and end-December 2018, and indicative target for end-September 2018.

² The primary budget balance of the national government and related adjusters are defined, respectively, in paragraph 6 and paragraph 7 of the TMU.

³ All targets are cumulative flows from July 1, 2017.

⁴ For program monitoring, the daily average for the month when testing dates are due.

⁵ The adjusters to the NIR and NDA targets are specified, respectively, in paragraph 8 and paragraph 17 of the TMU.

⁶ Excludes encumbered reserves. Includes Kenya's reserve tranche position in the Fund starting from March 16, 2016.

⁷ Using exchange rates as at end-March 2018 (see TMU ¶19).

⁸ Continuous.

⁹ Compliance will be evaluated based on the 12-month inflation average of the latest three months.

Table 4. Kenya: Proposed Structural Benchmarks

Measure	Target Date	Macro Criticality
Modify interest rate controls as follows: remove the floor on deposit rates; delink from the CBR the cap on lending rates; and significantly raise the cap on lending rates with the aim to protect consumers from predatory lending.	End-August 2018	To enable banks to resume providing credit to the economy and support growth, and to improve the effectiveness of monetary policy.
Submit to parliament draft legislation to clarify powers by counties to set taxes/user fees, aimed at increasing revenue at the county level, while maintaining a business-friendly tax system.	End-August 2018	To reduce pressures on transfers to counties while maintaining a business-friendly tax system
Adoption by Cabinet of standardized guidelines for project appraisal and selection.	End-August 2018	To improve the efficiency of public investments
Automate the release of funds from the exchequer account, first through the current system of MDA accounts.	End-August 2018	To prevent the accumulation of pending bills
Make operational a Centralized Payment System to ensure better control of public expenditure.	End-August 2018	To strengthen expenditure control

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Attachment. Technical Memorandum of Understanding

Nairobi, Kenya, May 25, 2018

1. This memorandum sets out the understandings between the Kenyan authorities and the IMF regarding the definitions of quantitative performance criteria and indicative targets, their adjusters and data reporting requirements for the Stand-By Arrangement.

2. For the purposes of the program, the National Government of Kenya corresponds to the budgetary central government encompassing the activities of the national executive, legislative and judicial powers covered by the National Budget. Specifically, it includes the parliament, presidential office, national judiciary, Ministries, Departments, Agencies, and Constitutional Commissions and Independent Offices.

I. QUANTITATIVE PERFORMANCE CRITERIA AND BENCHMARKS

3. Quantitative performance criteria are established for June 30, 2018 with respect to:

- the primary balance of the national government including grants, and excluding spending related to the first phase of the Standard Gauge Railway project SGR I (connecting Mombasa to Nairobi), cash basis (**floor**);
- the net official international reserves (NIR) of the Central Bank of Kenya (CBK) (**floor**);
- national government medium- and long-term external public debt arrears (**continuous ceiling**);
- Contracting or guaranteeing of new debt by the national government and the CBK (**ceiling**);
- monetary policy consultation clause (**band**).

4. The program sets indicative targets for June 30, 2018 with respect to:

- the net domestic assets (NDA) of the CBK (**ceiling**);
- change in the stock of national government domestic bills pending for 90 days or longer (**ceiling**);
- priority social spending of the national government (**floor**); and
- stock of guarantees issued by the national government (**ceiling**).

II. PERFORMANCE CRITERION ON THE PRIMARY BALANCE OF THE NATIONAL GOVERNMENT

5. The **national government primary balance** on cash basis is defined as national government revenues and grants minus expenditures and net lending, plus due interest payments, and spending related to SGR I, adjusted for cash basis.

6. For program purposes, the **national government primary balance** on cash basis will be measured from the financing side as the sum of the following: (a) the negative of net domestic financing of the national government; (b) the negative of net external financing of the national government, excluding the executed amount of disbursements related to SGR I; and (c) domestic and external interest payments of the national government. For all test dates, the national government primary balance will be measured cumulatively from July 1, 2017.

The above items are defined as follows:

- **Net domestic financing** of the national government is defined as the sum of:
 - net domestic bank financing;
 - net domestic nonbank financing; and
 - proceeds from privatization.
- **Net external financing** of the national government at actual transaction exchange rates is defined as the sum of:
 - disbursements of **external project loans**, including securitization and excluding executed amounts of disbursements related to the first phase of the Standard Gauge Railway project;
 - disbursements of **budget support loans**;
 - the negative of principal repayments due on all **external loans**;
 - net proceeds from issuance of external debt;
 - any exceptional financing (including rescheduled principal and interest);
 - net changes in the stock of short-term external debt; and
 - any change in external arrears including interest payments.
- **Domestic and external interest payments** of the national government are defined as the due interest charges on domestic and external national government debt.

7. **Adjustors.** The national government primary balance target will be: (i) adjusted downward by the amount of the shortfall in program grants, which are expected as refunds for Kenya's participation in African Union Mission in Somalia (AMISOM), as specified in TMU Table 1 below; and (ii) adjusted downwards by the excess in project loans (excluding SGR I) relative to the programmed amounts, as specified in MEFP Table 3, up to the maximum amounts, as specified in MEFP Table 3.

TMU Table 1. Kenya: African Mission in Somalia (AMISOM) Grant Schedule
(Billions of Kenyan Shillings)

	2018 Jun.
Program Amount ¹	6.1

Source: Authorities' data.

¹ For FY2017/18 cumulative from July 1, 2017.

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III. PERFORMANCE CRITERION ON THE NET INTERNATIONAL RESERVES OF THE CENTRAL BANK OF KENYA

8. **The net official international reserves** (NIR) (stock) of the CBK will be calculated as the difference between total gross official international reserves and official reserve liabilities.

- **Gross official international reserves** are defined as the sum of:
 - the CBK's holdings of monetary gold (excluding amounts pledged as collateral);
 - holdings of Special Drawing Rights (SDRs);
 - CBK holdings of convertible currencies in cash or in nonresident financial institutions (deposits, securities, or other financial instruments); and
 - Kenya's reserve tranche position with the IMF.
- **Gross official international reserves** exclude:
 - pledged, swapped, or any encumbered reserve assets, including but not limited to reserve assets used as collateral or guarantees for third-party external liabilities;
 - deposits with Crown agents; and
 - precious metals other than gold, assets in nonconvertible currencies and illiquid foreign assets.
- **Gross official reserve liabilities** are defined as:
 - the total outstanding liabilities of the CBK to the IMF, excluding the SDR allocations;
 - convertible currency liabilities of the CBK to nonresidents with an original maturity of up to and including one year; and
 - commitments to sell foreign exchange arising from derivatives (such as futures, forwards, swaps, and options).
- The following **adjustors** will apply to the target for NIR:
 - if budgetary external program grants and external commercial debt exceed the programmed amounts set out in TMU Table 2 below, the target for NIR will be adjusted upward by half of the difference; and
 - if budgetary external program grants and external commercial debt fall short of the programmed amounts set out in TMU Table 2 below, the target for NIR will be adjusted downward by the difference.

TMU Table 2. Projected Budgetary External Grants and Loans ¹

(US\$ millions)

	2018
	Jun.
Program grants	60.55
External commercial debt	2,880.82

Source: Kenyan authorities.

¹ Cumulative from July 1, 2017.

9. **NIR are monitored in U.S. dollars**, and, for program monitoring purposes, assets and liabilities in currencies other than the U.S. dollar shall be converted into dollar equivalent values, using the exchange rates as specified in TMU Table 3 below, and net international reserves will be computed as the daily average for the month when the testing date is due.

TMU Table 3. Kenya: Program Exchange Rates (Rates as of March 29, 2018)		
Currency	Kenyan Shillings per currency unit	US Dollars per currency unit
US Dollar	100.74	1.00
STG Pound	142.15	1.41
Japanese Yen	0.95	106.3
Canadian Dollars	78.17	1.29
Euro	124.60	1.24
Swiss Franc	105.53	0.95
Swedish Kronor	12.12	8.32
Danish Kronor	16.69	6.04
Chinese Yuan	15.99	6.30
Australian Dollars	77.32	1.30
SDR	146.84	0.69
Source: Central Bank of Kenya.		

IV. CONTINUOUS PERFORMANCE CRITERION ON THE NATIONAL GOVERNMENT EXTERNAL PAYMENT ARREARS

10. National government external payment arrears to official and private external creditors are defined as overdue payments (principal or interest), which were not made by their contract due date nor during the applicable grace period thereafter, on debt contracted by the national government. National government guaranteed external debt payment arrears (principal or interest) to official and private creditors are defined as overdue payments beyond 30 days after the original contract due date in order to allow the national government sufficient time to process the due repayment after the original debtor has notified of its inability to pay. The definition excludes arrears relating to debt subject to renegotiation (dispute) or rescheduling. External debt is defined on a residency basis.

11. The performance criterion on the national government external payment arrears is defined as a cumulative flow in gross terms from July 1, 2017 and applies on a continuous basis.

V. CONTRACTING OR GUARANTEEING OF NEW PUBLIC DEBT (CEILING)

12. A performance criterion (ceiling) applies to the nominal value of new debt (external and domestic) contracted or guaranteed by the national government and the CBK. For debt with original maturity of one year or less, new debt would be measured as the change in the outstanding stock

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over the specified period. The ceiling does not apply to the use of Fund resources, operations related to external debt restructuring; or normal import related credits. Public debt issued in foreign currency shall be valued in in local currency using the program exchange rates.

13. For the purposes of this TMU, the definition of debt is set out in paragraph 8 of the Guidelines on Public Debt Conditionality in Fund Arrangements (Executive Board's Decision No.15688-(14/107). The definition also refers to commitments contracted or guaranteed for which value has not been received. The definition of debt is as follows:

- For the purpose of these guidelines, the term "debt" will be understood to mean a current, i.e., not contingent, liability, created under a contractual arrangement through the provision of value in the form of financial and nonfinancial assets (including currency) or services, and which requires the obligor to make one or more payments in the form of assets (including currency) or services, at some future point(s) in time; these payments will discharge the principal and/or interest liabilities incurred under the contract. Debts can take a number of forms; the primary ones being as follows:
 - (i) loans, i.e., advances of money to the obligor by the lender made on the basis of an undertaking that the obligor will repay the funds in the future (including deposits, bonds, debentures, commercial loans and buyers' credits) and temporary exchanges of assets that are equivalent to fully collateralized loans under which the obligor is required to repay the funds, and usually pay interest, by repurchasing the collateral from the buyer in the future (such as repurchase agreements and official swap arrangements);
 - (ii) suppliers' credits, i.e., contracts where the supplier permits the obligor to defer payments until sometime after the date on which the goods are delivered or services are provided; and
 - (iii) leases, i.e., arrangements under which property is provided which the lessee has the right to use for one or more specified period(s) of time that are usually shorter than the total expected service life of the property, while the lessor retains the title to the property. For the purpose of the guideline, the debt is the present value (at the inception of the lease) of all lease payments expected to be made during the period of the agreement excluding those payments that cover the operation, repair, or maintenance of the property.

14. Under the definition of debt set out above, arrears, penalties, and judicially awarded damages arising from the failure to make payment under a contractual obligation that constitutes debt are debt. Failure to make payment on an obligation that is not considered debt under this definition (e.g., payment on delivery) will not give rise to debt.

VI. MONETARY POLICY CONSULTATION CLAUSE

15. The quarterly bands around the projected 12-month rate of inflation in consumer prices (as measured by the headline consumer price index (CPI) published by the Kenya National Bureau of Statistics), are specified in the TMU Table 4 below.

- If the observed average for the latest three months of the 12-months rate of CPI inflation falls outside the lower or upper bands specified in the TMU Table 4 below for the end-June 2018 test date, the authorities will complete a consultation with the IMF Executive Board which would focus on: (i) the stance of monetary policy and whether the Fund-supported program remains on track; (ii) the reasons for program deviations, taking into account compensating factors; and (iii) proposed remedial actions if deemed necessary. When the consultation with the IMF Executive Board is triggered, access to Fund resources will be interrupted until the consultation takes place.

TMU Table 4. Inflation Consultation Band

	2018 Apr.- Jun. Target
Upper band	7.5
<i>Center point</i>	5.0
Lower band	2.5

VII. INDICATIVE TARGET ON THE NET DOMESTIC ASSETS OF THE CENTRAL BANK OF KENYA

16. **Net domestic assets (NDA)** are defined as reserve money minus NIR converted in shillings at the accounting exchange rate specified in TMU Table 3, plus medium- and long-term liabilities (i.e., liabilities with a maturity of one year or more) of the CBK; minus the value in shillings of encumbered reserves converted at the accounting exchange rate specified in TMU Table 3.

- NDA is composed of:
 - net CBK credit to the national government;
 - outstanding net credit to domestic banks by the CBK (including overdrafts); and
 - other items net.
- Reserve money is defined as the sum of:
 - currency in circulation; and
 - required and excess reserves.
- The following **adjustors** will apply to the target for NDA:
 - if budgetary support (external grants and loans) and external commercial debt exceed the programmed amounts, the target for NDA will be adjusted downward by half of the difference; and
 - if budgetary support (external grants and loans) and external commercial debt fall short of the programmed amounts, the target for NDA will be adjusted upward by the difference.

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17. NDA are monitored in shillings, and will be computed as the daily average for the month when the testing date is due.

VIII. INDICATIVE TARGET ON NATIONAL GOVERNMENT DOMESTIC PENDING BILLS

18. For the purposes of the program, national government domestic pending bills are defined as outstanding invoices for which requisitions for payment have been received in Integrated Financial Management Information System (IFMIS) but no corresponding release of funds from the exchequer account has taken place. The Indicative Target (ceiling) applies to the change in the total stock of bills that have been pending for 90 days or more.

IX. INDICATIVE TARGET ON PRIORITY SOCIAL SPENDING

19. For the purposes of the program, priority social spending of the national government is defined as the sum of:

- cash transfers to orphans and vulnerable children;
- cash transfers to elderly;
- free primary education expenditure; and
- free secondary education expenditure

X. INDICATIVE TARGET ON GUARANTEES ISSUED BY THE NATIONAL GOVERNMENT

20. The guarantees issued by the national government include all guarantees extended by the national government to counties, public enterprises and all parastatal entities. All indicative targets are cumulative from July 1, 2016.

XI. DATA REPORTING

21. To monitor program performance, the National Treasury and the CBK will provide to the IMF the information at the frequency and within the reporting deadlines specified in TMU Table 5 below.

TMU Table 5. Kenya: Summary of Data to Be Reported			
Information	Frequency	Reporting Deadline	Responsible Entity
1. Primary balance of the national government			
Net domestic bank financing (including net commercial bank credit to the national government and net CBK credit to the national government)	Monthly	Within 20 days after the end of the month.	CBK
Net nonbank financing of the national government	Monthly	Within 20 days after the end of the month.	National Treasury (NT)
Proceeds from privatization	Monthly	Within 20 days after the end of the month.	NT
Interest due and paid on domestic debt	Monthly	Within 20 days after the end of the month.	CBK
Interest due and paid on external debt	Quarterly	Within 4 weeks after the end of the quarter.	CBK
Disbursements of external concessional and non-concessional project loans, including securitization	Quarterly	Within 45 days after the end of the quarter.	NT
Disbursements of budget support loans	Quarterly	Within 45 days after the end of the quarter.	NT
Principal repayments due and paid on all external loans	Quarterly	Within 20 days after the end of the month.	CBK
Net proceeds from issuance of external debt	Monthly	Within 20 days after the end of the month.	CBK
Any exceptional financing (including rescheduled principal and interest)	Monthly	Within 20 days after the end of the month.	NT
Net changes in the stock of short-term external debt	Quarterly	Within 45 days after the end of the quarter.	NT
Net change in external arrears, including interest and principal, and penalties	Monthly	Within 45 days after the end of the quarter.	NT
2. Public debt			
Stock of Treasury Bills	Quarterly	Within 45 days after the end of the quarter.	NT
Total new issuance of Treasury Bonds	Quarterly	Within 45 days after the end of the quarter.	NT
Total new other domestic debt contracted or guaranteed	Quarterly	Within 45 days after the end of the quarter.	NT and CBK
Total new contracted external project loans	Quarterly	Within 45 days after the end of the quarter.	NT
Total other new contracted or guaranteed external concessional debt	Quarterly	Within 45 days after the end of the quarter.	NT and CBK
Total new Eurobond issuances	Quarterly	Within 45 days after the end of the quarter.	NT
Total new other non-concessional external debt contracted or guaranteed	Quarterly	Within 45 days after the end of the quarter.	NT and CBK
3. Gross official international reserves			
CBK's holding of monetary gold (excluding amounts pledged as collateral)	Monthly	Within 20 days after the end of the month.	CBK
Holdings of SDRs.	Monthly	Within 20 days after the end of the month.	CBK
CBK holdings of convertible currencies in cash or in nonresident financial institutions (deposits, securities, or other financial instruments).	Monthly	Within 20 days after the end of the month.	CBK

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TMU Table 5. Summary of Data to Be Reported (concluded)

Information	Frequency	Reporting Deadline	Responsible Entity
4. Official reserve liabilities			
Total outstanding liabilities of the CBK to the IMF excluding the SDR allocations.	Monthly	Within 20 days after the end of the month.	CBK
Convertible currency liabilities of the CBK to nonresidents with an original maturity of up to and including one year.	Monthly	Within 20 days after the end of the month.	CBK
Commitments to sell foreign exchange arising from derivatives.	Monthly	Within 20 days after the end of the month.	CBK
5. Net domestic assets			
Net CBK credit to the national government.	Monthly	Within 20 days after the end of the month.	CBK
Outstanding net CBK credit to domestic banks (including overdrafts).	Monthly	Within 20 days after the end of the month.	CBK
6. Other indicators			
Currency in circulation.	Monthly	Within 20 days after the end of the month.	CBK
Required and excess reserves	Monthly	Within 20 days after the end of the month.	CBK
Concessional and non-concessional medium- and long-term external debt contracted or guaranteed by the national government and CBK	Quarterly	Within 45 days after the end of the quarter.	NT
Accumulation of national government external payment arrears	Monthly	Within 45 days after the end of the quarter.	NT
Change in the stock of national government domestic bills pending for 90 days or more starting June 2016	Quarterly	Within 45 days after the end of the quarter.	NT
Social priority spending of the national government	Quarterly	Within 45 days after the end of the quarter.	NT
Grants to government entities and total subsidies.	Quarterly	Within 45 days after the end of the quarter.	NT
Guarantees issued by the national government to counties, public enterprises and all parastatal entities.	Monthly	Within 45 days after the end of the quarter.	NT
Inflows/outflows related to the SGR project.	Quarterly	Within 45 days after the end of the quarter.	NT
12-month CPI inflation.	Monthly	Within 15 days after the end of the month.	KNBS
Financial Soundness Indicators (core and expanded) for other depository corporations.	[Quarterly]	Within 20 days after the end of the quarter.	CBK